Monthly Reg CB
LFF/ CNLS/ Projects Catchup

19 Aug 2025

Key Topics

1. **LFF**
    a. **Performance Update**
    b. Incentive Plan
    c. Short Term Blocker Progress Update
    d. Free Trial Update
2. **CNLS**
    a. Performance Update
    b. SOB Update
    c. Seller Movement
3. **Counter TB**
    a. Performance Update
    b. Incentive Plan
    c. Assortment Gap
    d. Price Comp

[CB MP LFF Key Metrics] CB LFF grew 52% from Jan to Aug 2025; CB FBS (Local WH) grew 85%, outpacing 3PF at 48%; LFF% of CB at 34.8% and FBS% of CB at 7.6%

CB MP LFF Topline and Blackstock (Jan'25 to Aug'25)

		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug (Proj)	Aug vs Jan
CB MP LFF (Total)	**LFF ADO**	537,872	532,200	581,447	593,778	687,135	746,600	754,684	1 815,386	52%
	... FBS (Local WH)	81,128	83,418	94,258	97,657	104,308	119,096	131,411	149,889	85%
	... FBS (NN WH)	25,469	22,192	20,551	21,589	24,966	29,171	27,767	27,101	6%
	... 3PF incl seller own WH	431,275	426,589	466,637	474,531	557,860	598,333	595,506	638,396	48%
	LFF ADO% CB MP	22.6%	24.1%	25.5%	27.8%	28.4%	29.0%	30.7%	2 34.8%	12.2pp
	FBS ADO% CB MP	4.5%	4.8%	5.0%	5.6%	5.3%	5.8%	6.5%	7.6%	3.1pp
	FBS New SKU # (monthly)	3,938	1,109	278	7,900	6,742	8,238	8,782	10,868	176%
	Blackstock Qty (%)	15.5%	18.4%	23.0%	20.5%	19.9%	19.2%	18.0%	3 18.5%	2.9pp

Key Highlights

1. Total CB MP LFF is projected to **grow 52%** from Jan-Aug 2025, this is driven by **Local CB WH, which grew 85%**, faster vs 3PF at 48% and NN WH at 6%
2. LFF penetration of CB MP grew 12.2pp to 34.8%, and FBS penetration of CB MP grew 3.1pp to 7.6%
3. Blackstock qty (%) increased by 2.9pp compare vs Jan but remains at a healthy level, with all markets staying below aligned threshold; we do not project blackstock to be out of control in similar way to 2024 but are working to contain inflow due to WH capacity concerns from TH and PH

[CB MP LFF - By Market] Across most markets, CB FBS grew >50%, with the exception of VN due to KYC and payment compliance; We have also started to action on controls for aging stock in TH/PH

CB MP LFF Key Metrics by Market (Aug'25 vs Jan'25)

		SG			MY			TH			VN			PH		
		Jan	Aug	Aug vs Jan	Jan	Aug	Aug vs Jan	Jan	Aug	Aug vs Jan	Jan	Aug	Aug vs Jan	Jan	Aug	Aug vs Jan
CB MP LFF (By Market)	**LFF ADO**	20,422	34,973	71%	96,785	150,698	56%	1b 108,841	167,269	54%	55,040	59,868	1a 9%	256,785	402,579	57%
	... FBS (Local WH)	7,872	15,093	92%	24,606	46,843	90%	9,312	21,412	130%	0	0	-	39,339	66,540	69%
	... FBS (NN WH)	0	0	-	0	0	-	5,530	7,865	42%	19,939	19,236	-4%	0	0	-
	... 3PF incl seller own WH	12,550	19,880	58%	72,179	103,855	44%	93,999	137,992	47%	35,101	40,631	16%	217,446	336,038	55%
	LFF ADO% CB MP	12.7%	19.2%	6.5pp	26.2%	36.5%	10.3pp	28.1%	39.7%	11.7pp	8.3%	15.7%	7.3pp	32.0%	42.8%	10.7pp
	FBS ADO% CB MP	4.9%	8.3%	3.4pp	6.6%	11.3%	4.7pp	3.8%	7.0%	3.1pp	3.0%	5.0%	2.0pp	4.9%	7.1%	2.2pp
	FBS New SKU # (monthly)	261	493	89%	786	2,766	252%	1,011	2,933	190%	979	1,773	81%	902	2,902	222%
	Blackstock Qty (%)	19.9%	16.2%	-3.6pp	12.0%	16.8%	4.8pp	15.7%	19.7%	4.0pp	13.1%	17.1%	4.0pp	18.9%	19.2%	0.3pp

Key Highlights

1. Across all markets,
   a. For VN, NNWH ADO -4% mainly due to the impact of KYC (affected overall VNCB); VN 3PF ADO +16%, VNCB is working on finalizing the 3PF payment model and incentive plan within the next 2 weeks, and expect 3PF to be the key driver to improve SHP/TTS LFF multiple
   b. For TH, we have aligned to push **non-compliant listings via 3PF** (~16% of total CB orders) and prioritize **pushing local WH for compliant listings**
      i. For 3PF push, TH is working on an incentive plan targeted at sellers who need it only
      ii. For FBS push, TH has proposed an incentive plan that is **similar in mechanics to rest of markets, but less in aggressiveness (more details behind)**
2. Blackstock increased across markets but are within threshold; we are working closely with local teams control inbound due to WH capacity, especially in PH and TH
   a. For TH, we are tightening coverage days from **120 days to 75 days**
   b. For PH, we are pausing all new FBS product nominations and tightening coverage days from **75 days to 60 days**

[Backup: CB MP LFF - By Market] We are on track for LFF ADO in Aug but behind on FBS ADO RR at 93% due to TH Local CBWH and PH underperformance

CB MP LFF Key Metrics by Market (Aug'25 MTD Performance)

CB MP		SG			MY			TH			VN			PH			Total		
		MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM
Topline	**LFF ADO**	36,746	**113.7%**	19.6%	156,698	**104.9%**	13.5%	180,725	**107.7%**	16.7%	66,338	**99.9%**	15.1%	415,614	**94.6%**	2.6% 1	856,121	**100.0%**	13.4%
	... FBS (Local CBWH)	17,245	**107.1%**	15.6%	53,599	**103.5%**	11.5% 2	22,842	**80.4%**	30.0%	-	-	- 2	67,638	**91.0%**	12.1%	161,324	**94.2%**	22.8%
	... FBS (NN WH)	-	-	-	-	-	-	8,285	**100.8%**	15.2%	21,352	**82.7%**	-8.1%	-	-	- 2	29,637	**87.3%**	-
	... 3PF	19,501	**119.1%**	22.9%	103,099	**105.6%**	14.4%	149,598	**114.0%**	14.9%	44,987	**110.0%**	29.7%	347,976	95.4%	0.9%	665,161	**106.4%**	11.7%
	LFF ADO% CB MP	17.6%	**111.4%**	2.8pp	35.3%	**105.0%**	2.5pp	39.2%	**107.7%**	3.7pp	13.9%	**139.7%**	6.0pp	40.5%	**94.5%**	2.3pp 1	32.7%	**104.8%**	2.1pp
	FBS ADO% CB MP	8.3%	**105.0%**	1.0pp	12.1%	**103.5%**	0.6pp	6.8%	**85.1%**	1.1pp	4.5%	**115.7%**	1.0pp	6.6%	**91.0%**	0.9pp	7.3%	**97.5%**	0.8pp
FBS Inventory Health	Blackstock Qty%	15.7%	**52.2%**	0.1pp	16.6%	**66.5%**	0.7pp	19.5%	**65.1%**	-0.3pp	17.9%	-	0.8pp	19.4%	**77.7%**	0.2pp	18.3%	-	0.3pp
	ATP%	88.9%	**111.1%**	1.7pp	90.0%	**112.5%**	6.0pp	88.9%	**111.1%**	8.2pp	88.9%	-	6.0pp	88.9%	**111.1%**	1.0pp	88.1%	-	3.2pp

Key Highlights

1. LFF Aug MTD ADO at 856.1k, EOM RR at 100%. ADO% of CB MP at 32.7%, EOM RR at 104.8%, +2.1pp MoM.

2. FBS Aug MTD ADO at 191.0k, EOM RR at 93%; FBS ADO% of CB MP at 7.3%, +0.8pp MoM. All markets EOM ADO RR on track except TH Local CBWH and PH:
   a. TH Local CBWH EOM RR at 80.4% due to low **New SKU inbound RR** as THCB WIP to finalize FBS new seller incentive plan to boost attractiveness. **Catchup plan: Free trial launch, aim to start pitching next week**
   b. PH EOM RR at 91.0% mainly due to CN underperformance **partially impacted by WH capacity blockers**: 1) PH has rejected all new SKU nomination from 7 Aug due to insufficient WH capacity (temporary treatment for 7-20 Aug, but exempt for sellers with Shop ADO>500) and 2) new PN criteria imposed for existing and new sellers from 29 Jul. **Catchup plan: 1) $50k budget to clear high DOC SKUs. 2) WIP budget proposal to clear 0 ADIS SKUs. 3) New WHs to open in Sep. 4) Onboard new FBS sellers with free trial (~222 shops) by end Aug**

[LFF penetration target vs TTS] The gap between SHP LFF% and TTS LFF% (excl VN) is narrowed from 7% in Jun'25 to 2% in Jul'25; We target for this to be 51% in Dec'25, better than TTS by 6pp

Table: SHP vs TTS CB LFF (including 3PF) Penetration Comparison (Jun'25 & Jul'25 Actual vs Dec'25 Projected)

	Jun'25 (Actual)			Jul'25 (Actual)			Dec'25 (Projected)		
Market	**TTS LFF%**	**SHP LFF%**	**SHP% vs TTS%**	**TTS LFF%**	**SHP LFF%**	**SHP% vs TTS%**	**TTS LFF%**	**SHP LFF%**	**SHP% vs TTS%**
SG	15%	16%	**1%**	14%	16%	**2%**	20%	26%	**6%**
MY	32%	33%	**2%**	29%	34%	**5%**	35%	46%	**11%**
TH[1]	43%	32%	**-11%**	40%	35%	**-6%**	45%	46%	**1%**
VN[1]	32%	5%	**-27%**	34%	6%	**-28%**	2 40%	20%	**-20%**
PH	46%	39%	**-6%**	42%	40%	**-2%**	50%	58%	**8%**
Total SEA	**39%**	**28%**	**-12%**	**37%**	**30%**	**-8%**	**44%**	**45%**	**1%**
Total excl VN	**41%**	**35%**	**-7%**	1 **38%**	**36%**	**-2%**	**45%**	**51%**	**6%**

1: Removed NNWH from the TH/VN LFF base to ensure an apple-to-apple comparison against TTS LFF.

Key Highlights

1. The gap between SHP LFF% (excl VN) and TTS LFF% (excl VN) is narrowed from **7% in Jun'25 to 2% in Jul'25**, driven by **SHP LFF% increasing from 35% to 36%** while **TTS LFF% decreased from 41% to 38%**; We aim for SHP CB LFF penetration to grow to 51% in Dec'25 (6pp higher than TTS)
   a. TTS is able to drive LFF more effectively vs Shopee due to 1) 100% reliance on partner 3PFs (better seller adoption due to multiplatform coverage), 2) higher coverage of short tail SKUs that are easier to acquire

2. For **VN (excl NNWH)**, we are lagging behind **TTS CB LFF penetration by 27%** in Jun'25 and 28% in Jul'25 due to TTS driving 3PFs faster from being non-compliant with government regulation (If include NNWH, VN LFF% at 9%, lagging behind by 23%).
   a. We aim for VN 3PF **penetration to grow to 20%** and the gap vs TTS LFF% to be narrowed to 20% by Dec'25
   b. Next steps: VNCB is working on 1) **finalizing the 3PF payment model** and **incentive plan** within the next 2 weeks; 2) identifying **targeted seller pool** to further push, including: big TTS 3PF sellers, big LFF sellers in other SHP markets, 3PF sellers who opted out due to payment blockers, current SHP SLS sellers, new sellers

[CB FBS Topline Projection] We target CB LFF% of CB MP to be 57% and CB FBS% of CB MP to be 19% by Dec'26; For markets with local CBWH, FBS will hit 25% by Dec'26

Table: CB MP LFF and FBS ADO% to Total CB MP

		SG			MY			TH			VN			PH			SEA excl. VN			SEA incl. VN		
		Jun'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jun'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jun'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jun'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jun'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jun'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jun'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)
SHP CB LFF %	**LFF %**	16%	26%	41%	33%	46%	54%	34%	48%	62%	9%	24%	45%	39%	58%	70%	35%	51%	62%	29%	1 45%	57%
	- FBS %	7%	13%	27%	9%	18%	25%	6%	12%	28%	4%	4%	5%	5%	14%	23%	6%	14%	2 25%	6%	2 12%	19%
	- Local WH %	7%	13%	27%	9%	18%	25%	4%	10%	25%	0%	0%	0%	5%	14%	23%	6%	14%	24%	5%	11%	18%
	- NN WH %	0%	0%	0%	0%	0%	0%	2%	2%	2%	4%	4%	5%	0%	0%	0%	0%	0%	0%	1%	1%	2%
	- 3PF %	9%	13%	13%	24%	28%	29%	29%	36%	34%	5%	20%	40%	34%	44%	47%	29%	36%	37%	23%	33%	38%
Breakdown by seller group																						
CNCB LFF %	**LFF %**	23%	38%	59%	40%	54%	64%	35%	49%	64%	9%	24%	45%	42%	61%	70%	39%	56%	67%	31%	49%	61%
	- FBS %	8%	17%	37%	10%	20%	29%	5%	12%	28%	4%	5%	5%	6%	15%	22%	6%	15%	26%	6%	13%	20%
	- Local WH %	8%	17%	37%	10%	20%	29%	4%	10%	26%	0%	0%	0%	6%	15%	22%	6%	15%	25%	5%	11%	18%
	- NN WH %	0%	0%	0%	0%	0%	0%	2%	2%	2%	4%	5%	5%	0%	0%	0%	0%	0%	1%	1%	1%	2%
	- 3PF %	15%	21%	22%	29%	34%	35%	29%	37%	35%	5%	19%	40%	36%	46%	48%	32%	41%	41%	25%	36%	41%
KRCB LFF %	**LFF %**	31%	40%	60%	43%	48%	65%	33%	38%	44%	13%	38%	45%	27%	30%	34%	33%	38%	48%	27%	38%	47%
	- FBS %	31%	40%	60%	43%	46%	64%	28%	33%	38%	0%	0%	0%	27%	30%	34%	32%	37%	47%	23%	24%	31%
	- 3PF %	0%	0%	0%	1%	1%	1%	5%	5%	6%	13%	38%	45%	0%	0%	0%	1%	1%	1%	5%	13%	16%

Key Highlights

1. Looking forward, we aim for total CB LFF penetration to CB MP to increase from 45% to 57% by Dec '26
2. We also target for CB FBS penetration to CB MP to grow from 12% to 19%. For markets with local CBWH, expect FBS to hit 25% by Dec'26

Key Topics

1. **LFF**
   a. Performance Update
   b. **Incentive Plan**
   c. Short Term Blocker Progress Update
   d. Free Trial Update
2. **CNLS**
   a. Performance Update
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[FBS Incentive Planning] While we push to acquire sellers aggressively for 2025, we are plan to streamline incentives in alignment with local platform direction

Table: Key FBS incentives summary and proposed 2026 direction

	#	Key incentives	SG	MY	TH	PH	2026 Planning (WIP)
Incentive for new to FBS seller	1	First 3 month FBS ADO base comm waiver	Y	Y	N[1]	Y	Sunset
	2	Ads support to new sellers	Y	Y	N	Y	Sunset
	3	**[New]** WH handling fee free trial (XS-M tier)	Y	Y	Y	Y	Monitor effectiveness to see if to continue in 2026
	4	**[New]** Sea Shipping discounted Trial	Y	Y	Y	Y	
	5	**[New]** Free pickup & unloading support	Y (TBC)	Y	N	Y	
	6	Bespoke rate to acquire top sellers	Case by case basis				
Incentive for VIP seller	7	Base comm rebate to top sellers achieving targets	Y	Y	Y	Y	Sunset
	8	Ads support to top sellers/ new SKU	Y	Y	Y	Y	Sunset
Incentive for all FBS seller	9	Platform support fee waiver	/	Y	TBD	/	Keep, in alignment with local direction for FBS
Incentive for FBS buyer	10	**[New]** Dedicated FSV for FBS	Y	Y	TBD	Y[2]	Keep, new in 2026 (Q4 for PH)

1: TH is not doing 3 months commission due to base commission being very much lower vs SLS (1%)
2: For dedicated FSV for FBS, PH will start pilot in Q4 and MY to launch in 2026. For TH, CB FBS sellers all eligible for platform FSV as FSS participation is mandatory, and it's under discussion to have FBS dedicated FSV with lower min spend

1. From Q3, we're further pushing FBS with 4 new initiatives with the focus on new to FBS shops acquisition, including WH handling fee free trial (aligned with local FBS), Sea shipping discounted trial and Free pickup & unloading support
2. For next steps, we are planning the streamlined incentives in 2026 including 1) streamline new shops acquisition incentives such as sun-setting new shop first 3 months FBS ADO base comm waiver/Base comm rebate to top sellers and 2) sunset of ads support

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[FBS Incentive CPI Outlook] In 2026, we will reduce seller benefits and move towards buyer benefits; FBS incentive CPI is expected to slightly increase from 0.33 to 0.36

Table: FBS incentive CPI simulation of Dec'25 & Dec'26 with proposed 2026 direction (Local WH)

Initial assessment, TH/PH WIP to align with local

				Total			SG			MY			TH (Local WH)			PH		
				Dec'25	Dec'26	Delta	Dec'25	Dec'26	Delta	Dec'25	Dec'26	Delta	Dec'25	Dec'26	Delta	Dec'25	Dec'26	Delta
FBS ADO targets				**325,156**	**612,821**	**287,665**	**22,128**	**48,495**	**26,367**	**84,748**	**138,090**	**53,342**	**45,285**	**138,261**	**92,976**	**172,995**	**287,975**	**114,980**
Seller Benefit	Incentive for new to FBS sellers	1	1st 3 mth FBS ADO base comm waiver	0.01	0.00	-0.01	0.03	0.00	-0.03	0.01	0.00	-0.01	-	-	-	0.01	0.00	-0.01
		2	Ads support to new sellers	0.00	0.00	0.00	0.01	0.00	-0.01	0.00	0.00	0.00	-	-	-	0.00	0.00	0.00
		3	WH handling fee free trial (XS-M tier)	0.08	0.09	0.01	0.12	0.12	0.00	0.07	0.07	0.00	0.12	0.12	0.00	0.07	0.07	0.00
		4	Sea Shipping discounted Trial	0.02	0.01	0.00	0.00	0.00	0.00	0.02	0.02	0.00	0.01	0.01	0.00	0.02	0.02	0.00
		5	Free pickup & unloading support	0.00	0.00	0.00	-	-	-	0.00	0.00	0.00	-	-	-	0.00	0.00	0.00
		6	Bespoke rate to acquire top sellers	To be case by case evaluation														
	Incentive for VIP sellers	7	VIP seller base comm incentives	0.02	0.00	-0.02	0.08	0.00	-0.08	0.02	0.00	-0.02	-	-	-	0.01	0.00	-0.01
		8	VIP seller free ads incentives	0.03	0.00	-0.03	0.09	0.00	-0.09	0.06	0.00	-0.06	0.01	0.00	-0.01	0.02	0.00	-0.02
	Incentive for all	9	Platform support fee waiver	0.02	0.02	0.00	-	-	-	0.08	0.08	0.00	TBC	TBC	-	-	-	-
	Subtotal (sellers)	**1-9**	**Incentive for new/VIP/all FBS sellers**	**0.19**	**0.12**	**-0.06**	**0.33**	**0.12**	**-0.21**	**0.26**	**0.17**	**-0.09**	**0.13**	**0.13**	**-0.01**	**0.13**	**0.09**	**-0.04**
Buyer Benefit	**Subtotal (buyers)**	**10**	**FSV support to FBS buyers**	**0.15**	**0.24**	**0.09**	**-**	**0.38**	**0.38**	**0.00**	**0.24**	**0.24**	**TBC**	**TBC**	**-**	**0.30**	**0.34**	**0.04**
Total	**CB FBS incentive cost per item sold**			**0.33**	**0.36**	**0.03**	**0.33**	**0.50**	**0.16**	**0.26**	**0.41**	**0.14**	**0.13**	**0.13**	**-0.01**	**0.43**	**0.43**	**0.00**

Key Highlights

1. In 2026, we will shift part of the seller benefits (e.g. base comm waivers and ad incentives) to **buyer benefits** (e.g. FBS FSV) to align better with platform direction. As a result of this structural change, the seller-related incentive CPI is expected to decrease from 0.19 to 0.12, while the buyer-related incentive CPI is expected to increase from 0.15 to 0.24, overall FBS incentive CPI is expected to slightly increase from 0.33 to 0.36.

2. Overall TH incentives has been **lower than other markets** (projected CPI at 0.13) due to **less seller incentives support currently** and other initiatives such as free trial, FBS FSV, and platform support fee waivers are still pending platform decision

[Backup] FBS Incentive Total Cost Simulation

Table: FBS incentive total cost simulation of Dec'25 & Dec'26 with proposed 2026 direction (Local WH)

Initial assessment, TH/PH WIP to align with local

				Total			SG			MY			TH (Local WH)			PH		
				Dec'25	Dec'26	Delta	Dec'25	Dec'26	Delta	Dec'25	Dec'26	Delta	Dec'25	Dec'26	Delta	Dec'25	Dec'26	Delta
FBS ADO targets				**325,156**	**612,821**	**287,665**	**22,128**	**48,495**	**26,367**	**84,748**	**138,090**	**53,342**	**45,285**	**138,261**	**92,976**	**172,995**	**287,975**	**114,980**
Cost to sellers	Incentive for new to FBS seller	1	1st 3 mth FBS ADO base comm waiver	106k	0k	-106k	25k	0k	-25k	27k	0k	-27k	-	-	-	54k	0k	-54k
		2	Ads support to new sellers	31k	0k	-31k	9k	0k	-9k	12k	0k	-12k	-	-	-	10k	0k	-10k
		3	WH handling fee free trial (XS-M tier)	964k	1932k	968k	111k	244k	133k	223k	364k	141k	199k	609k	5k	430k	715k	285k
		4	Sea Shipping discounted Trial	185k	327k	142k	2k	5k	3k	64k	105k	41k	15k	45k	30k	104k	173k	69k
		5	Free pickup & unloading support	16k	25k	9k	-	-	-	10k	15k	5k	-	-	-	6k	10k	4k
		6	Bespoke rate to acquire top sellers	-														
	Incentive for VIP seller	7	VIP seller base comm incentives	238k	0k	-238k	78k	0k	-78k	82k	0k	-82k	-	-	-	78k	0k	-78k
		8	VIP seller free ads incentives	377k	0k	-377k	90k	0k	-90k	192k	0k	-192k	9k	0k	-9k	87k	0k	-87k
	Incentive for all	9	Platform support fee waiver	266k	433k	167k	-	-	-	266k	433k	167k	TBC	TBC	-	-	-	-
	Subtotal (sellers)	**1-9**	**Incentive for new/VIP/all FBS sellers**	2184k	2717k	534k	316k	248k	-68k	876k	918k	41k	223k	654k	431k	768k	898k	129k
Cost to buyers	**Subtotal (buyers)**	**10**	**FSV support to FBS buyers**	1715k	5313k	3599k	-	782k	-	0k	1277k	1277k	TBC	TBC	-	1715k	3255k	1540k
Total	**CB FBS incentive total cost**			3898k	8031k	4132k	316k	1031k	715k	876k	2194k	1318k	223k	654k	431k	2483k	4152k	1669k

Key Topics

1. **LFF**
   a. Performance Update
   b. Incentive Plan
   c. **Short Term Blocker Progress Update**
   d. Free Trial Update
2. **CNLS**
   a. Performance Update
   b. SOB Update
   c. Seller Movement
3. **Counter TB**
   a. Performance Update
   b. Incentive Plan
   c. Assortment Gap
   d. Price Comp

[FBS growth blockers] We are already working to resolve all identified short term addressable blockers through policy revamp, operational and product feature improvement

Deep dive today

Blockers for growth		#	Solution/Action Plan	Aligned PIC	Status
Addressable Short Term	Inbound Constraints	1	**Policy:** Revamp IB capacity planning process and launch new VAS to enhance flexibility for last min inbound demands	Reg CB LFF	Done
		2	**Product:** Launch system feature to collect seller preferred IB time and embed seller input to WH capacity planning	Reg CB LFF	Done
		3	**Product:** Phase 1 to fix system issue for inbound requests approval to avoid unnecessary manual escalation process for sellers; Phase 2 to enhance system feature to automate seasonality SKU approval	Reg CB LFF	Done for phase 1
		4	**Policy/ Ops:** Improve Inbound putaway lead time to ensure good seller experience	Reg CB LFF/ Reg WH	By Q4'25
		5	**Ops:** Resolve IB bottlenecks at WH (e.g., WH IB capacity, Allocated IB quotas, IB scheduling)	Reg WH	By Q4'25
		6	**Ops:** Launch FCL (Full Container Load) service to support seller E2E logistics to WH	SLS	Done
	Blackstock Control	7	**Product:** Suggest inbound quantities to seller via system feature improvement to prevent Blackstock	Reg CB LFF	Done
		8	**Policy:** Monitor WH Blackstock CBM% to adjust WH Blackstock quantity targets on monthly basis to avoid unnecessary RTS/ Disposal causing bad seller sentiment	Reg CB LFF	Done
	Large and Bulky Constraints	9	**Policy:** Review Large and Bulky (L&B) rate card and define long term plan for L&B fee to be competitive vs 3PF	Reg CB LFF	Done
		10	**Ops:** Optimize WH processes to accommodate higher proportion of Large & Bulky in cost effective manner	Reg WH	By Q3'25
	Limited VAS selection	11	**Ops:** Provide VAS per seller needs, e.g.,extra packaging for fragile goods	Reg WH	By Q3'25
	Higher WH price vs 3PF	12	**Policy:** Work with all markets to review existing rate card benchmarking 3PF public rates	Reg CB LFF	Done
		13	**Policy:** Establish process for bespoke rate card to acquire sellers who enjoy 3PF VIP rate	Reg CB LFF	By Sep'25
		14	**Ops:** Build WH cost advantage vs top 3PF to ensure long term FBS rate card competitiveness	Reg WH	Ongoing

[IB capacity update] For IB quota, SG/MY are on track while TH and PH in progress to adjust up IB quota to accommodate for Sep IB demands

CB MP FBS inbound demand and WH baseline

	SGP+SGL+SGC			MYB			THBSC1			PHB+PHE+PHL		
	Aug'25	Projected Sep'25	Projected Oct'25	Aug'25	Projected Sep'25	Projected Oct'25	Aug'25	Projected Sep'25	Projected Oct'25	Aug'25	Projected Sep'25	Projected Oct'25
CB FBS ADO target	11,809	15,483	16,733	45,167	57,879	69,956	34,422	32,181	45,237	73,958	87,825	105,551
IB demand	29,349	46,600	39,100	97,000	129,000	143,000	33,800	75,600 (WIP)	70,900	202,000	188,000	226,000
WH IB quota baseline (excl adhoc schedule)	35,000	WIP	50,000	97,000	129,000	143,000	45,000	1a 50,000 (WIP)	70,000	1b 205,000	205,000	WIP
Assessment on whether IB capacity is sufficient	Y	WIP	Y	Y	Y	Y	Y	N	N	Y	Y	WIP

Key Highlights

1. For inbound quota availability, SG/MY are okay while TH will have gap from Sep onwards and PH is still experiencing capacity challenges for main WH (PHB) seller replenishment
   a. TH: IB demand projected to be 75.6k in Sep vs WH committed baseline at 50k. Next: Reg WH is working with TH to increase capacity quota. ETA 20 Aug
   b. PH: while average monthly capacity is sufficient, there might be **IB quota gaps** from next week till 9.9 due to seller replenishment for spike days (For PHB, projected demand at 120-140k vs baseline 110k). Next: PH will confirm baseline adjustment by this week, and align on seller prioritization process as needed (i.e. to prioritize OOS sellers or RVP seller replenishment). New WH in PH expect to ramp up from Oct to significantly increase PH inbound quota

2. For WH space issue, THB and PHB has faced challenges of insufficient space and adjust down DOC for sellers
   a. TH has reduced DOC from 120D to 75D to control seller replenishment quantities
   b. PH has reduced DOC from 75D to 60D temporarily and to re-assess after new WH opening in Oct

[Rate Card Review] All markets rate card are competitive vs top 3PF, except SG; SG will use bespoke rate card process to expedite on new shops acquisition

Table: FBS vs 3PF Handling Fee + Base Commission Fee Comparison

CB FBS better/ on par vs 3PF | CB FBS worse vs 3PF

		Criteria	SG	MY	TH	PH (New)
(A+B) Total mandatory fee / order	XXS	<0.2kg, <=20cm	1 $1.87	-	-	-
	XS	<=50g, <=15cm	$3.39	$0.62	$0.36	$0.34
	S	<=1kg, <=25cm	$3.79	$1.25	$0.59	$0.66
	M	<=5kg, <=50cm	$6.03	$1.39	$0.70	$1.05
	L	<=10kg, <=100cm	$10.16	$2.81	2 $1.83	$2.35
	XL	>10kg, >100cm	$7.94	$4.22	$6.01	$2.67
(A) Normalized Base comm / order*	XXS	<0.2kg, <=20cm	$1.28	-	-	-
	XS	<=50g, <=15cm	$2.21	$0.35	$0.09	$0.14
	S	<=1kg, <=25cm	$2.02	$0.93	$0.30	$0.42
	M	<=5kg, <=50cm	$3.08	$1.01	$0.31	$0.69
	L	<=10kg, <=100cm	$5.68	$2.09	$0.79	$0.98
	XL	>10kg, >100cm	$1.10	$2.87	$2.45	$0.44
(B) Handling fee / order	XXS	<0.2kg, <=20cm	$0.59	-	-	-
	XS	<=50g, <=15cm	1 $1.18	$0.27	$0.27	$0.21
	S	<=1kg, <=25cm	$1.77	$0.32	$0.30	$0.24
	M	<=5kg, <=50cm	$2.95	$0.38	$0.39	$0.36
	L	<=10kg, <=100cm	$4.48	$0.72	2 $1.04	$1.37
	XL	>10kg, >100cm	$6.84	$1.35	$3.56	$2.23

Note: As FBS and 3PF ABS varies, for fair comparison we use CB FBS ABS to simulate 3PF normalized base comm per order based on 3PF sellers actual take rate % to GMV

Key Highlights

1. All markets rate card are competitive vs top 3PF except SG
   a. SG: Current rate card is not competitive for both handling fee and total mandatory fee because 3PFs use **below cost rate card** that is similar to what they used in MY. Next step: **Launch free trial and bespoke rate card** process to expedite new shops acquisition (existing sellers continue with current rate card to minimize impact to WH PnL)

2. Specifically for TH/PH Large and Bulky rate card, though WH handling fee/ order not competitive vs 3PF, overall it's still cheaper vs 3PF after considering the **base comm saving from CB FBS base comm differentiation**

[Back up] Rate card governance study - SG

Table: SG FBS vs 3PF Handling Fee + Base Commission Fee Comparison

CB FBS better/ on par | CB FBS worse

[SG] WH Rate Card Benchmarking		Criteria	SHP CB FBS	SHP Local FBS	Jingqi	AsiaECS	ESTP	Yuancang
					Unqualified	Unqualified	Unqualified	Qualified
Total mandatory / order	XXS	<0.2kg, <=20cm	$1.87	$0.98	$1.03	$0.27	$0.20	$0.28
	XS	<2kg, <=20cm	$3.39	$2.46	$4.15	$3.44	$3.31	$0.28
	S	<15.5kg, <=25cm	$3.79	$3.15	$4.01	$3.38	$3.14	$3.29
	M	<15.5kg, <=50cm	$6.03	$5.10	$5.88	$5.00	$4.75	$5.03
	L	<15.5kg, <=100cm	$10.16	$9.01	$10.18	$9.27	$8.90	$9.62
	XL	>15.5kg, >100cm	$7.94	$7.85	$4.30	$3.31	$3.16	$3.19
Normalized base comm / order	XXS	<0.2kg, <=20cm	$1.28	-	-	-	-	-
	XS	<2kg, <=20cm	$2.21	$1.48	$3.12	$3.17	$3.11	-
	S	<15.5kg, <=25cm	$2.02	$1.31	$2.98	$3.02	$2.93	$2.91
	M	<15.5kg, <=50cm	$3.08	$2.03	$4.56	$4.57	$4.55	$4.58
	L	<15.5kg, <=100cm	$5.68	$4.34	$8.59	$8.52	$8.68	$8.89
	XL	>15.5kg, >100cm	$1.10	$0.74	$1.82	$1.83	$1.86	$1.75
Handling fee + putaway fee Per Order	XXS	<0.2kg, <=20cm	$0.59	$0.98	$1.03	$0.27	$0.20	$0.28
	XS	<2kg, <=20cm	$1.18	$0.98	$1.03	$0.27	$0.20	$0.28
	S	<15.5kg, <=25cm	$1.77	$1.84	$1.03	$0.36	$0.20	$0.38
	M	<15.5kg, <=50cm	$2.95	$3.07	$1.31	$0.43	$0.20	$0.45
	L	<15.5kg, <=100cm	$4.48	$4.66	$1.59	$0.75	$0.22	$0.73
	XL	>15.5kg, >100cm	$6.84	$7.12	$2.48	$1.48	$1.30	$1.44

Key Highlights

- Current SG CB FBS rate card is uncompetitive for both Handling fee and Total mandatory fee. Action taken: Launched free trial to acquire new sellers (6 month free handling fee of XS-M tier); Next step: Launch bespoke rate card process for sellers with long-term cost considerations, where the free trial alone may not drive conversion, in order to accelerate new shop acquisition.

[Back up] Rate card governance study - MY

Table: MY FBS vs 3PF Handling Fee + Base Commission Fee Comparison

CB FBS better/ on par | CB FBS worse

[MY] WH Rate Card Benchmarking		Criteria	SHP WH	Local FBS	Yuancang	AsiaECS	Seaya	Golucky
					Qualified	Qualified	Qualified	Qualified
Total mandatory / order	XS	<=50g, <=15cm	$0.62	$0.54	$1.00	$0.90	$0.95	$0.95
	S	<=1kg, <=25cm	$1.25	$0.82	$2.01	$2.04	$1.99	$2.03
	M	<=5kg, <=50cm	$1.39	$0.90	$2.42	$2.40	$2.48	$2.76
	L	<=10kg, <=100cm	$2.81	$1.78	$5.00	$4.93	$5.05	$5.32
	XL	>10kg, >100cm	$4.22	$0.37	$10.12	$10.16	$10.69	$10.61
Normalized base comm / order	XS	<=50g, <=15cm	$0.35	$0.27	$0.71	$0.63	$0.66	$0.65
	S	<=1kg, <=25cm	$0.93	$0.31	$1.62	$1.67	$1.60	$1.66
	M	<=5kg, <=50cm	$1.01	$0.19	$1.96	$1.97	$1.95	$1.96
	L	<=10kg, <=100cm	$2.09	$0.22	$4.27	$4.18	$4.24	$4.28
	XL	>10kg, >100cm	$2.87	$0.37	$8.67	$8.68	$8.80	$8.81
Handling fee + putaway fee Per Order	XS	<=50g, <=15cm	$0.27	$0.27	$0.29	$0.27	$0.28	$0.30
	S	<=1kg, <=25cm	$0.32	$0.51	$0.39	$0.36	$0.39	$0.37
	M	<=5kg, <=50cm	$0.38	$0.71	$0.46	$0.43	$0.53	$0.80
	L	<=10kg, <=100cm	$0.72	$1.56	$0.73	$0.75	$0.81	$1.04
	XL	>10kg, >100cm	$1.35	NA	$1.45	$1.48	$1.90	$1.81

Key Highlights

- Current MY CB FBS rate card is competitive vs top 3PF. Launched free trial to further expedite new seller acquisition (6 month free handling fee of XS-M tier)

[Back up] Rate card governance study - TH

Table: TH FBS vs 3PF Handling Fee + Base Commission Fee Comparison

CB FBS better/ on par | CB FBS worse

[TH] WH Rate Card Benchmarking		Criteria	SHP WH	Local FBS	Yuancang	Seaya	AsiaECS	Golucky
					Qualified	Qualified	Qualified	Qualified
Total mandatory / order (A+B)	XS	<=50g, <=15cm	$0.36	$2.13	$0.57	$0.54	$0.55	$0.61
	S	<=1kg, <=25cm	$0.59	$2.63	$1.23	$1.18	$1.24	$1.34
	M	<=5kg, <=50cm	$0.70	$3.51	$1.62	$1.62	$1.51	$1.92
	L	<=10kg, <=100cm	$1.83	$6.10	$3.17	$3.06	$2.97	$3.68
	XL	>10kg, >100cm	$6.01	$9.61	$8.62	$7.68	$7.49	$8.71
Normalized base comm / order (A)	XS	<=50g, <=15cm	$0.09	$0.26	$0.28	$0.24	$0.28	$0.32
	S	<=1kg, <=25cm	$0.30	$0.25	$0.85	$0.77	$0.87	$0.97
	M	<=5kg, <=50cm	$0.31	$0.34	$1.17	$1.07	$1.07	$1.14
	L	<=10kg, <=100cm	$0.79	$0.83	$2.44	$2.21	$2.22	$2.66
	XL	>10kg, >100cm	$2.45	$0.59	$6.46	$5.69	$6.01	$6.95
Handling fee + putaway fee Per Order (B)	XS	<=50g, <=15cm	$0.27	$1.88	$0.29	$0.30	$0.27	$0.30
	S	<=1kg, <=25cm	$0.30	$2.38	$0.38	$0.41	$0.36	$0.37
	M	<=5kg, <=50cm	$0.39	$3.17	$0.45	$0.55	$0.43	$0.79
	L	<=10kg, <=100cm	$1.04	$5.27	$0.73	$0.85	$0.75	$1.02
	XL	>10kg, >100cm	$3.56	$9.02	$2.16	$1.99	$1.48	$1.76

Key Highlights

- Current TH CB FBS rate card is competitive with top 3PFs. While WH handling fees for large and bulky items are higher, overall rates remain competitive when factoring in base commission savings from CB FBS. Next step: To launch free trial to further expedite new seller acquisition. ETA: week of 18 Aug

[Back up] Rate card governance study - PH

Table: PH FBS vs 3PF Handling Fee + Base Commission Fee Comparison

CB FBS better/ on par | CB FBS worse

[PH] WH Rate Card Benchmarking		Criteria	SHP WH (Standard)	SHP WH (Discounted)	Local FBS (Standard)	AsiaECS	Yuancang	Seaya
						Qualified	Qualified	Qualified
Total mandatory / order (A+B)	XS	<=50g, <=15cm	$0.39	$0.34	$0.51	$0.64	$0.59	$0.65
	S	<=1kg, <=25cm	$0.71	$0.66	$0.51	$1.10	$1.18	$1.22
	M	<=5kg, <=50cm	$1.10	$1.05	$0.86	$1.67	$1.67	$1.72
	L	<=10kg, <=100cm	$2.35	$2.35	$2.27	$3.35	$3.24	$3.26
	XL	>10kg, >100cm	$4.90	$2.67	$2.98	$2.89	$3.65	$3.33
Normalized base comm / order (A)	XS	<=50g, <=15cm	$0.14	$0.14	$0.25	$0.38	$0.29	$0.36
	S	<=1kg, <=25cm	$0.42	$0.42	$0.17	$0.80	$0.79	$0.83
	M	<=5kg, <=50cm	$0.69	$0.69	$0.35	$1.20	$1.20	$1.19
	L	<=10kg, <=100cm	$0.98	$0.98	$0.90	$2.57	$2.50	$2.46
	XL	>10kg, >100cm	$0.44	$0.44	$0.76	$1.41	$1.46	$1.44
Handling fee + putaway fee Per Order (B)	XS	<=50g, <=15cm	$0.26	$0.21	$0.26	$0.27	$0.30	$0.28
	S	<=1kg, <=25cm	$0.29	$0.24	$0.34	$0.30	$0.39	$0.39
	M	<=5kg, <=50cm	$0.41	$0.36	$0.51	$0.47	$0.46	$0.53
	L	<=10kg, <=100cm	$1.37	$1.37	$1.37	$0.79	$0.74	$0.81
	XL	>10kg, >100cm	$4.45	$2.23	$2.23	$1.48	$2.19	$1.89

Key Highlights

- Current PH CB rate card is competitive vs top 3PF. While WH handling fees for large and bulky items are higher, overall rates remain competitive when factoring in base commission savings from CB FBS. Launched free trial to further expedite new seller acquisition (6/12 month free handling fee of XS-M tier)

[Backup] Commission Fee Comparison

Table: CB FBS vs CB 3PF vs CB SLS vs Local FBS Base Commission Fee Comparison

CB FBS better/ on par | CB FBS worse

Breakdown by Markets		Current / Upcoming Base Commission Fee				Comparison		
		CB FBS	CB 3PF	CB SLS	Local FBS	CB FBS vs 3PF	CB FBS vs SLS	CB FBS vs Local FBS
SG	Mall	9%	14%	14%	7.63%-9.81%	-5%	-5%	-0.81% to 1.37%
	Non-Mall				4.36%			5%
MY	Mall	10.8%	18.36%	18.36%	3.24% - 18.90%	-7.56%	-7.56%	-8.1% to 7.56%
	Non-Mall				5.40% - 16.20%			-5.4% to 5.4%
TH	Mall	11.77%	18.19%	18.19%	program: 12.84%-18.19% non-program: 5.89%-13.91%	-6.42%	-6.42%	-6.42% to -1.07% -2.14% to 5.88%
	Non-Mall	9.63%	16.05%	16.05%	program: 12.84%-16.05% non-program: 5.89%-11.77%	-6.42%	-6.42%	-6.42% to -3.21% -2.14% to 3.74%
VN	Mall	9.82%	1.47%-11.78%	14.33%	0% - 7.95%	-1.96% to 8.35%	-4.51%	1.87% to 9.82%
	Non-Mall				1.47% - 11.78%			-1.96% to 8.35%
PH	Mall	4.5%-7.92%	8.24%-11.56%	11.00%	6.12%-11.08%	-3.74% to -3.64%	-6.5% to -3.08%	-3.16% to -1.62%
	Non-Mall	5.50%-7.50%	9.00%-11.00%		8.5%-10.5%	-3.50%	-5.5% to -3.5%	-3.00%

**Note: The TH commission fee shown here reflects the version to take effect on 1 September 2025.*

Key Highlights

1. CB FBS vs CB SLS: CB FBS commission fee is significantly lower by 3.08% - 7.56% across all markets.
2. CB FBS vs CB 3PF: CB FBS commission fee is also significantly lower by 3.5% - 7.56% across all markets except VN, where NNWH lacks a strong value proposition in VN due to limited addressable ADO, higher CPO, and longer buyer waiting time.
3. CB FBS vs Local FBS: CB FBS commission fee is less competitive in SG (non-mall), TH (vs local non-program seller), and VN.

Key Topics

1. **LFF**
   a. Performance Update
   b. Incentive Plan
   c. Short Term Blocker Progress Update
   d. Free Trial Update
2. **CNLS**
   a. Performance Update
   b. SOB Update
   c. Seller Movement
3. **Counter TB**
   a. Performance Update
   b. Incentive Plan
   c. Assortment Gap
   d. Price Comp

[CB FBS Free Trial] Recap: We’ve streamlined CB FBS free trial across markets to push new to FBS shops acquisition with 3-6 months free handling fee for XS-M tier

Table: CB FBS Free Trial Overview in SG/MY/PH/TH

	SG	MY	PH	TH *(to be finalized)*
Eligible Sellers	1 New to FBS sellers (Shop ADO>5, no inbound history in L3M)	New to FBS sellers (Shop ADO>5, no inbound history in L3M)	New to FBS sellers (Shop ADO>10, no inbound history)	New to FBS sellers (Shop ADO>10, no inbound history)
Offer Details	Free Handling fee (Only for XS-M tier, excl. L/ bulky)	Free Handling fee (Only for XS-M tier, excl. L/ bulky)	Free Handling fee (Only for XS-M tier, excl. L/ bulky)	Free Handling fee (for XS-M tier), but lower commission fee discount from 6% to 3%
Duration	6 months	6 months	6 months (12 months for PHP/ PHM)	3 months
Status	SGCB WIP to get final approval, ETA 30 Jul	Seller comms preparation started at the week of 22 Jul	Started seller pitching in late Jun, with 80% pitch rate, 49% response rate and 27% seller agree rate. PHCB is WIP to solve the operational issues raised by sellers during pitching process	THCB WIP to finalize the plan and in progress to approval
Timeline	2 Launched on 6 Aug	Launched on 6 Aug	Launched in late Jun	Aim for launch at the week of 18 Aug

Key Highlights

1. We’ve streamlined CB FBS free trial across SG/MY/PH markets to push new to FBS shops acquisition with 6 month free handling fee for XS-M tier; TH directionally aligned and is WIP to finalize the details
2. Timeline wise: SG/MY/PH has launched Free Trial. PH launched in late Jun, SG/MY launched on 6 Aug. TH WIP to finalize the proposal and get approval, ETA: to align and launch in the week of 18 Aug

[CB FBS Free Trial] As of 14 Aug, SG/MY pitching seller coverage rate is at 51-54%; PH pitching rate 90%; we are working to address PH inbound constraints to improve seller agree rate

Table: SG/MY/PH Free Trial Pitching Result (as of 14 Aug)

Metrics	Market	Pitching Result								
		Total for Pitching [A]	Pitched [B]	Pitch Rate (%) [B/A]	Seller Responded [C]	Response Rate (%) [C/A]	Seller Agreed [D]	Agree Rate (%) [D/A]	Seller Raise FBS Product Nomination	Raise Rate (%)
Shop #	SG	4,167	1,805	43%	619	15%	72	2%	3	0%
	MY	9,377	4,070	43%	1,531	16%	402	4%	12	0%
	PH	8,653	7,092	82%	5018	58%	2,475	29%	821	9%
	total	**22,197**	**12,967**	**58%**	**7,168**	**32%**	**2,949**	**13%**	**836**	**4%**
Shop ADO	SG	69,416	35,344	1 51%	11,682	1 17%	1 1,801	3%	185	0%
	MY	205,556	110,776	54%	43,652	21%	12,201	6%	525	0%
	PH	772,647	699,230	2 90%	577,697	75%	214,131	28%	107,943	14%
	total	**1,047,618**	**845,350**	**81%**	**633,031**	**60%**	**228,133**	**22%**	**108,653**	**10%**

Key Highlights

1. SG/MY free trial pitching started from 6 Aug. As of 14 Aug (one week after commencement), **pitch rate 51-54%**, **seller response rate 17-21%**, and **agree rate 3-6%** (with 1.8k shop ADO coverage in SG and 12.2k ADO in MY). SMT will continue to push pitching efforts in the following weeks.

2. PH free trial pitching started from late Jun. As of 14 Aug, pitching coverage has reached 90% of ADO, with 75% response rate, 28% agree rate, and 14% (~108k shop ADO impact) already raised PN. CN SMT is working with PHCB team to address inbound constraints (PN approval paused for 2 weeks from 7 Aug to 20 Aug, and ad-hoc force clear) to accelerate agree rate improvement

[Backup] SG Pitching Result with Team Performance Breakdown

Table: SG Pitching Result (with team breakdown)

	Pitching Result (shop #)								
Team Group	**Total for Pitching**	**Pitched**	**Pitch Rate (%)**	**Seller Responded**	**Response Rate (%)**	**Seller Agreed**	**Agree Rate (%)**	**Seller Raise PN**	**Raise PN Rate (%)**
UST_South	266	240	90%	41	15%	17	6%	0	0%
UST_East	460	262	57%	262	57%	0	0%	0	0%
ST_Lifestyle	484	484	100%	0	0%	0	0%	0	0%
ST_Fashion	399	74	19%	52	13%	7	2%	0	0%
ST_FMCG	249	122	49%	46	18%	7	3%	0	0%
ST_Electronics	362	362	100%	206	57%	34	9%	3	1%
Others[1]	1,947	261	13%	12	1%	7	0%	0	0%
total	**4,167**	**1,805**	**43%**	**619**	**15%**	**72**	**2%**	**3**	**0%**

	Pitching Result (shop ADO)								
Team Group	**Total for Pitching**	**Pitched**	**Pitch Rate (%)**	**Seller Responded**	**Response Rate (%)**	**Seller Agreed**	**Agree Rate (%)**	**Seller Raise PN**	**Raise PN Rate (%)**
UST_South	3,266	3,016	92%	612	19%	184	6%	0	0%
UST_East	8,570	3,456	40%	3,456	40%	0	0%	0	0%
ST_Lifestyle	10,187	10,187	100%	0	0%	0	0%	0	0%
ST_Fashion	7,193	1,249	17%	803	11%	140	2%	0	0%
ST_FMCG	5,331	2,751	52%	1,321	25%	231	4%	0	0%
ST_Electronics	8,377	8,377	100%	4,908	59%	872	10%	185	2%
Others[1]	26,491	6,308	24%	582	2%	374	1%	0	0%
total	**69,416**	**35,344**	**51%**	**11,682**	**17%**	**1,801**	**3%**	**185**	**0%**

1: Relatively low pitching rate in 'Others" team group mainly due to the high proportion of non-managed shops. These sellers can only be approached through mass marketing channels

[Backup] MY Pitching Result with Team Performance Breakdown

Table: MY Pitching Result (with team breakdown)

	Pitching Result (shop #)								
Team Group	Total for Pitching	Pitched	Pitch Rate (%)	Seller Responded	Response Rate (%)	Seller Agreed	Agree Rate (%)	Seller Raise PN	Raise PN Rate (%)
UST_South	525	492	94%	110	21%	11	2%	0	0%
UST_East	560	456	81%	456	81%	219	39%	0	0%
ST_Lifestyle	1,303	1,303	100%	12	1%	8	1%	4	0%
ST_Fashion	1,050	543	52%	378	36%	66	6%	2	0%
ST_FMCG	682	473	69%	163	24%	31	5%	1	0%
ST_Electronics	651	651	100%	404	62%	63	10%	4	1%
Others[1]	4,606	152	3%	8	0%	4	0%	1	0%
total	**9,377**	**4,070**	**43%**	**1,531**	**16%**	**402**	**4%**	**12**	**0%**

	Pitching Result (shop ADO)								
Team Group	Total for Pitching	Pitched	Pitch Rate (%)	Seller Responded	Response Rate (%)	Seller Agreed	Agree Rate (%)	Seller Raise PN	Raise PN Rate (%)
UST_South	9,323	8,815	95%	1,810	19%	123	1%	0	0%
UST_East	13,874	8,055	58%	8,055	58%	3,404	25%	0	0%
ST_Lifestyle	39,322	39,322	100%	385	1%	286	1%	101	0%
ST_Fashion	32,796	17,588	54%	12,133	37%	3,924	12%	17	0%
ST_FMCG	22,905	12,383	54%	5,784	25%	1,878	8%	129	1%
ST_Electronics	22,087	22,087	100%	15,352	70%	2,520	11%	242	1%
Others[1]	65,248	2,525	4%	133	0%	65	0%	36	0%
total	**205,556**	**110,776**	**54%**	**43,652**	**21%**	**12,201**	**6%**	**525**	**0%**

1: Relatively low pitching rate in 'Others" team group mainly due to the high proportion of non-managed shops. These sellers can only be approached through mass marketing channels

[Backup] PH Pitching Result with Team Performance Breakdown

Table: PH Pitching Result (with team breakdown)

	Pitching Result (shop #)								
Team Group	**Total for Pitching**	**Pitched**	**Pitch Rate (%)**	**Seller Responded**	**Response Rate (%)**	**Seller Agreed**	**Agree Rate (%)**	**Seller Raise PN**	**Raise PN Rate (%)**
UST_South	466	466	100%	195	42%	44	9%	26	6%
UST_East	775	775	100%	618	80%	177	23%	170	22%
ST_Lifestyle	1,374	1,374	100%	619	45%	291	21%	156	11%
ST_Fashion	1,131	1,131	100%	877	78%	391	35%	197	17%
ST_FMCG	703	616	88%	506	72%	37	5%	27	4%
ST_Electronics	764	709	93%	666	87%	283	37%	71	9%
Others[1]	3440	2021	59%	1537	45%	1252	36%	174	5%
total	**8,653**	**7,092**	**82%**	**5018**	**58%**	**2,475**	**29%**	**821**	**9%**

	Pitching Result (shop ADO)								
Team Group	**Total for Pitching**	**Pitched**	**Pitch Rate (%)**	**Seller Responded**	**Response Rate (%)**	**Seller Agreed**	**Agree Rate (%)**	**Seller Raise PN**	**Raise PN Rate (%)**
UST_South	16,981	16,981	100%	8,017	47%	2,876	17%	1,199	7%
UST_East	88,242	88,242	100%	71,261	81%	9,787	11%	8,946	10%
ST_Lifestyle	172,486	172,486	100%	118,209	69%	51,331	30%	32,481	19%
ST_Fashion	124,574	124,574	100%	110,598	89%	57,104	46%	40,133	32%
ST_FMCG	104,789	95,196	91%	85,674	82%	10,545	10%	5,336	5%
ST_Electronics	125,759	119,400	95%	116,396	93%	32,116	26%	12,950	10%
Others[1]	139,816	82,351	59%	67,542	48%	50,372	36%	6,898	5%
total	**772,647**	**699,230**	**90%**	**577,697**	**75%**	**214,131**	**28%**	**107,943**	**14%**

1: Relatively low pitching rate in 'Others" team group mainly due to the high proportion of non-managed shops. These sellers can only be approached through mass marketing channels

Key Topics

1. **LFF**
   a. Performance Update
   b. Incentive Plan
   c. Short Term Blocker Progress Update
   d. Free Trial Update
2. **CNLS**
   a. **Performance Update**
   b. SOB Update
   c. Seller movement
   d. FBS update
3. **Counter TB**
   a. Performance Update
   b. Incentive Plan
   c. Assortment Gap
   d. Price Comp

[CNLS Performance] CNLS overall on track, with PH behind target impacted by focus category seasonality

Metrics		ALL			MY			TH			ID			VN			PH		
		MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM
Topline	ADO	2,261,041	102.9%	4.7%	130,125	103.2%	10.7%	421,540	105.9%	11.9%	864,832	102.7%	4.7%	141,555	122.2%	25.9%	702,990	98.3%	-3.4%
	ADG	14,673,313	107.2%	7.3%	1,374,481	107.8%	9.0%	3,222,379	111.1%	14.5%	5,210,773	104.9%	7.0%	944,025	124.7%	24.6%	3,921,654	103.4%	-1.1%
Investment Spend	Paid Ads	927,938	105.0%	9.0%	88,595	103.3%	12.7%	199,726	115.2%	14.5%	356,937	104.5%	9.8%	52,810	107.7%	12.0%	229,871	98.2%	1.6%
	AMS	149,606	113.6%	20.1%	13,284	107.0%	22.0%	31,886	124.3%	27.4%	50,266	117.3%	20.9%	16,882	222.7%	142.4%	37,289	86.3%	-6.9%
Content ADG	Livestream	1,343,422	111.1%	11.2%	104,872	115.6%	15.6%	205,889	95.7%	-5.1%	680,158	107.7%	5.6%	206,878	153.0%	65.2%	145,625	106.9%	11.1%
	Video	1,666,451	119.0%	20.8%	105,299	107.1%	22.1%	362,853	146.4%	27.4%	628,942	132.2%	33.5%	94,447	111.6%	15.8%	474,911	96.2%	4.1%

Notes: Aug MTD as of Aug 17th; for the unified KPI metrics which local CNLS doesn't track, the RR is calculated as reference

Key Highlights:

1 **VN CNLS:**

- **ADO MoM +26%**, overachieved due to top KPI Livestream on 8/8, boosting performance uplift 1.8x vs. 7/7

2 **PH CNLS:**

- **ADO MoM -3.4%**, behind the target mainly due to Local CNLS normalization after back to school and rainy season sale surge, mainly impact Home and living category (MoM -7.7%) contributed to 66% of local CNLS total GMV (vs. platform ~50%).
- **Next steps:** RM are pushing HL seller for listing Party Supplies products, expecting X'mas related products will start to move on 9.9

[CNLS Performance] Price competitiveness tracked by RM KPI in ID, MY and TH, have maintained outperformance vs. platform average

Price Comp Unified KPI - L3M Performance

Markets	Team[1]	May '25	Jun '25	Jul '25	*July Platform[2]*	*vs Platform*
ID	CN CNLS	68%	73%	72%	*31%*	*Higher*
	Local CNLS	64%	70%	69%		
MY	CN CNLS	40%	38%	40%	*33%*	*Higher*
	Local CNLS	43%	40%	43%		
TH	Total CNLS	40%	39%	38%	*23%*	*Higher*

Notes: [1] Local CNLS track price comp differently, unified KPI performance only shown as reference;
[2] Platform average data is from Reg BD, is preliminary and subject to change prior to final release; TH local kpi tracked differently thus only have cnls total

Key Highlights:

1. Price competitiveness visibility established in **3 markets following Reg BD definition**, tracking on a **sku-to-sku level NPC with ~30% ADO coverage in each of the markets**; PH/VN no visibility due to not tracked for local RM KPI
2. **CNLS sustained Competitive Advantage:** CNLS teams have **stably out-performed platform**, mainly due to a) **enforced in unified KPI**; and b) **enforced as key targets for key seller programs** (e.g. CN reg SSP, local SSP)

- **Next steps:** build up store-to-store level NPC tracking prioritizing MY type 1 sellers; already set up download session with MY BI to ensure logic consistency

[CNLS Performance] Paid Ads TR has shown stable growth since January with minor dip in MY/ID in July; already recovered in Aug

Market	Team	Team	Jan' TR	Feb' TR	Mar' TR	Apr' TR	May' TR	Jun' TR	Jul' TR	Aug' TR	Jul vs. Jun	Aug vs. Jul
All	CN CNLS	Reg CNLS	5.1%	5.1%	5.1%	5.4%	5.7%	6.2%	6.2%	6.5%	0.0%	0.3%
	Local CNLS	Local CNLS	4.3%	4.4%	4.8%	5.1%	5.3%	5.7%	5.9%	6.0%	0.3%	0.1%
MY	CN CNLS	Reg CNLS	5.5%	5.5%	5.4%	5.4%	5.9%	6.6%	6.4%	6.7%	-0.2%	0.2%
	Local CNLS	Local CNLS	4.3%	4.9%	5.5%	5.2%	4.9%	6.0%	5.6%	6.4%	-0.4%	0.8%
TH	CN CNLS	Reg CNLS	4.9%	4.9%	5.0%	5.4%	5.5%	5.9%	6.2%	6.5%	0.3%	0.2%
	Local CNLS	Local CNLS	3.2%	3.3%	4.3%	4.4%	4.9%	5.3%	5.7%	5.9%	0.4%	0.3%
ID	CN CNLS	Reg CNLS	5.6%	5.7%	5.6%	5.9%	6.2%	6.6%	6.6%	6.9%	-0.1%	0.4%
	Local CNLS	Local CNLS	6.0%	5.8%	5.4%	6.2%	6.3%	6.4%	6.5%	6.5%	0.1%	0.0%
VN	CN CNLS	Reg CNLS	4.4%	4.2%	4.3%	4.2%	5.1%	5.5%	5.5%	5.4%	0.0%	-0.1%
	Local CNLS	Local CNLS	4.0%	4.5%	4.3%	4.9%	5.6%	5.9%	6.7%	6.1%	0.5%	-0.6%
PH	CN CNLS	Reg CNLS	4.1%	4.2%	4.3%	4.7%	5.1%	5.5%	5.6%	5.9%	0.1%	0.3%
	Local CNLS	Local CNLS	4.5%	4.7%	4.9%	5.0%	5.1%	5.5%	5.8%	5.9%	0.2%	0.1%

Notes: Aug MTD as of Aug 17th

Key Highlights:

1. **Overall performed well:** Paid ads take rate has demonstrated **healthy growth** across all markets since January
2. **Jul vs. Jun:**
   - **MY Overall drop: Mainly due to COSMAR and HEBE budget allocation adjustment:** a) heavy investment in June spikes, and then rationalized in July; b) Free ads credit in June from the programs they participated in due to good performance and packages, which they utilized in July, leading to paid take rate MoM reduction compared to June
   - **ID CN CNLS drop**: Mainly dragged by top seller - 中南 de-invested due to OOS, seller has finished replenishment and TR recovered
3. **Aug vs. Jul:**
   - **MY Overall recover:** Has shown strong recovery in Aug - HEBE take rate mom **+8.3%**
   - **VN Overall drop:** TR drop in Aug due to investment shift to AMS (mom +142%) and Livestream (mom +65%) driven by **top KOL livestream** on 8/8, ADO also increased by 26%

[Backup] MY July TR dipped driven by top seller budget shifts, with COSMAR continue budget allocated to CPAS for off-site promotion and HEBE showing recovery in August

MY Top seller TR deep dive:

GGP	Metrics	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug MTD
COSMAR	Ads TR	7.0%	8.0%	7.5%	7.5%	7.7%	8.3% 1	6.4%	6.1%
	MoM Uplift	/	1.1%	-0.5%	-0.1%	0.2%	0.6%	-1.9%	-0.3%
HEBE	Ads TR	9.3%	14.6%	17.3%	20.1%	24.3%	28.0% 2	22.2%	30.6%
	MoM Uplift	/	5.2%	2.8%	2.8%	4.2%	3.7%	-5.8%	8.3%

Key Highlights:

1. **COSMAR:** PA take rate dipped in July mainly due to a) budget reallocation to seller vouchers; b) free ads credits from Ads package squeezed paid credits purchasing:
   - **Investment re-allocation:** seller switched paid ads budget to voucher to control price across channels, leading to 2% of paid ads TR drop
   - **Ads credits spending:** Seller bought Ads package in June which the Ads credits from the package has expiration within 2 months, seller majorly spent the free Ads from the package resulting in net Ads spend dropped (total ads spend increase)

   August MTD drop: COSMAR launched global new product in August with new global brand ambassador, seller reallocated marketing budget on CPAS to boost off-site new product promotion (CPAS spending MoM+ 21.7%, CPAS TR +0.8pp.)
2. **HEBE**: The seller reduced ads spend in July to control overall ads budget after heavy ads investment in May and June due to Raya. HEBE's PA take rate rose steadily from January to June, dipped a bit in July, but has increased again in August to above June level (2 SBD in 5-6 Aug, 1 SBD in 26 Aug)

Key Topics

1. **LFF**
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[SOB Update] Regional CNLS Aug ADG multiplier project to maintain at 1.7x, and ADO multiplier project to increase slightly at 0.01x due to minor drop in ABS multiplier

Jul/Aug # pending seller survey final confirmation

SHP vs. TTS (multiple)		MY	TH	VN	PH	ID	Regional
ADG (multiples)	Aug'25	1.42 x	1.56 x	1.65 x	1.71 x	2.02 x	1.70 x
	Jul'25	1.44 x	1.57 x	1.54 x	1.71 x	2.00 x	1.70 x
	Jun'25	1.49 x	1.60 x	1.54 x	1.68 x	1.99 x	1.70 x
	Aug vs Jul delta	-0.02 x	-0.01 x	0.11 x	-0.01 x	0.02 x	1 0.00 x
ADO (multiples)	Aug'25	0.91 x	1.01 x	1.08 x	1.43 x	1.78 x	1.33 x
	Jul'25	0.90 x	1.02 x	1.08 x	1.41 x	1.76 x	1.32 x
	Jun'25	0.96 x	1.13 x	1.01 x	1.38 x	1.77 x	1.35 x
	Aug vs Jul delta	0.01 x	0.00 x	0.00 x	0.02 x	0.02 x	1 0.01 x
ABS (multiples)	Aug'25	1.55 x	1.54 x	1.53 x	1.19 x	1.14 x	1.28 x
	Jul'25	1.60 x	1.54 x	1.43 x	1.22 x	1.13 x	1.28 x
	Jun'25	1.55 x	1.42 x	1.52 x	1.22 x	1.12 x	1.26 x
	Aug vs Jul delta	2 -0.05 x	0.00 x	0.10 x	2 -0.02 x	0.00 x	-0.01 x

Key insights:

1. Regional ADG SOB project to project to maintain at 1.7x, and ADO multiplier project to increase slightly at 0.01x due to ABS SOB minor drop
2. Drop in ABS SOB mainly due to TTS ABS absolute increase in MY and PH
   a) SHP MY ABS project to maintain stable at $20.7 (0.2% MoM increase v.s. TTS 3.2% increase)
   b) SHP PH ABS project to maintain stable $7.3 (-0.7% MoM decrease v.s. TTS 1% increase)

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Key Topics

1. **LFF**
   a. Performance Update
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   a. Performance Update
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   d. FBS update
3. **Counter TB**
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   d. Price Comp

[Seller movement - executive summary]

- **For export market,** we will prioritize **PH due to its largest seller #** (7k PH CNLS out of total 10k CNLS sellers, and >95% of PH CNLS only presented in PH) ; **For import market,** we will prioritize **VN/MY as P0, due to smaller seller #** in local markets (VN: ~200, MY ~400, vs ID ~500, TH ~2000)
- Sellers show **clear preference towards seller movement by CNLS**, 2025 H1 ~60% of sellers and >95% ADO was realized through CNLS across all seler movement paths.
- **But the movement process is slow**, historically we moved ~10 sellers per month in 2025 H1 and we don't see a sign of acceleration in 2025 H2
- **So we require extra push** for the remaining seller group, including tailored seller program, streamlined onboarding process, and FBS adoption acceleration
- For CNLS path, we expect to have **~130 sellers onboarded and ~48k ADO by 2025 YE, have ~430 sellers onboarded and ~280k ADO by 2026 YE.** For other seller movement paths, we will co-work with owners of each path to set targets.
- **For PH pilot we kicked off Aug 1st,** we pitched 81 sellers (out of 95 selles identified), **all market success rate 27%** (sellers agreed to onboard at least one new market), **per market success rate 6-15%** (sellers agreed to onboard to a specific market)**, higher than 2025 H1 2-8%**

[Seller movement - potential assessment] All sites show significant potential for site expansion, we will prioritize PH as P0 export market, and prioritize VN/MY as P0 import markets

Seller Type	Metrics	ID	MY (2)	PH (1)	TH	VN (2)
Total	Total seller #	10,036	10,036	10,036	10,036	10,036
	- Seller# have local shop in the site	531	415	7,268	2,143	211
	- Seller# not present in the site	9,505	9,621	2,768	7,893	9,825
	Total seller %	100%	100%	100%	100%	100%
	- Seller % have local shop in the site	5%	4%	72%	21%	2%
	- Seller % don't have local shop in the site	95%	96%	28%	79%	98%
Type 1	Total seller #	1,594	1,594	1,594	1,594	1,594
	- Seller# have local shop in the site	432	323	745	315	118
	- Seller# don't have local shop in the site	1,162	1,271	849	1,279	1,476
	Total Seller %	100%	100%	100%	100%	100%
	- Seller % have local shop in the site	27%	20%	47%	20%	7%
	- Seller %don't have local shop in the site	73%	80%	53%	80%	93%
Type 2	Total seller #	8,250	8,250	8,250	8,250	8,250
	- Seller# have local shop in the site	29	33	6,403	1,751	45
	- Seller# don't have local shop in the site	8,221	8,217	1,847	6,499	8,205
	Total seller %	100%	100%	100%	100%	100%
	- Seller % have local shop in the site	0%	0%	78%	21%	1%
	- Seller %don't have local shop in the site	100%	100%	22%	79%	99%
Type 3	Total seller #	192	192	192	192	192
	- Seller# have local shop in the site	70	59	120	77	48
	- Seller# don't have local shop in the site	122	133	72	115	144
	Total seller %	100%	100%	100%	100%	100%
	- Seller % have local shop in the site	36%	31%	63%	40%	25%
	- Seller %don't have local shop in the site	64%	69%	38%	60%	75%

Key highlights

- All sites show **significant potential** for site expansion, local CNLS only present a small portion of total CNLS universe
- (1) **For export market,** we will **prioritize PH as it has largest seller #** (7k out of total 10k, and >95% of PH CNLS only presented in PH)
- (2) **For import market,** we will **prioritize VN and MY** due to its small seller # (VN ~200, MY ~400)

Note: Seller count is prioritized by GGP, then GP, and lastly by shop level if neither is available.

[Seller movement - overall structure] CNLS sellers would prefer CNLS path as end-game option, and position SIP, Direct sell, CN SLS as test-the-water phase and position CN LFF as intermediate stage

Path	PIC	Key attributes					Seller Persona	Positioning	Primary goal
		Whether sellers need to have **CN supply chain**?	Whether seller have to secure **first mile and local WH resources**?	Whether the seller need to **bear local inventory risk**?	Whether sellers need to **have local entity**?	Whether sellers **operate the stores**?			
SIP	SIP	N	N	N	N	N	Sellers who are 1) **not sure about target market potentail**, or 2) **don't have sufficienct resources**	Test-the-water phase	Seller # coverage
Direct Sell	SIP	N	N	N	N	Y	Sellers who 1) **have local supply chain**, and 2) **interested but not entirely certain** about target market potential	Test-the-water phase	Seller # coverage
CN SLS	CN SMT	Y	N	N	N	Y	Sellers who 1) **have CN supply chain**, and 2) **interested but not entirely certain** about target market potential	Test-the-water phase	Seller # coverage
CN LFF	CN SMT	Y	N / Y	Y	N	Y	Sellers who 1) **have CN supply chain**, 2) **sure about market potential** but 3) **don't have local entity**	Intermediate Stage	ADO contribution
CNLS	Reg CNLS PMO	N / Y	Y	Y	Y	Y	Sellers who are 1) **sure about market potential** and 2) have **local entity**	End-game option	ADO contribution

Key highlights

- Based on seller interview, **CNLS seller would prefer CNLS path** (also the only option for sellers expanding to ID) if they want to double down to a new market and position **SIP, Direct sell, CN SLS as test-the-water phase** to acquire local know-how and gain confidence level, **and position CN LFF as intermediate stage** before they acquire local entity
- **Reg CNLS team will structurally drive all seller movement initiatives** and set **seller # coverage** and **ADO contribution** target with owners of different paths

[Seller movement - 2025 YTD progress] CNLS sellers show a strong preference for CNLS path, but the process is slow, we moved ~10 sellers organically per month in 2025 H1 with no sign of acceleration

Seller onboarded after 2025.01.01

Seller #	2025.Jun						2025.July					
Import market	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID
Total	115	26	31	30	17	11	124	30	32	33	18	11
SIP	14	4	5	3	2	0	17	5	5	5	2	0
Direct Sell	0	0	0	0	0	0	0	0	0	0	0	0
CNCB SLS	34	9	11	6	8	0	39	11	12	7	9	0
CB LFF	*Pending CN SMT team to final confirm*											
1 CNLS	67	13	15	21	7	11	68	14	15	21	7	11

ADO by seller onboarded after 2025.01.01

ADO	2025.Jun						2025.July					
Import market	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID
Total	10,274	2,590	1,717	1,025	228	4,714	11,178	2,705	1,613	1,089	333	5,437
SIP	0.5	0.2	0.2	0.1	0.1	0.0	0.2	0.1	0.0	0.1	0.0	0.0
Direct Sell	0	0	0	0	0	0	0	0	0	0	0	0
CNCB SLS	8	0	7	1	0	0	40	3	15	0	22	0
CB LFF	*Pending CN SMT team to final confirm*											
1 CNLS	10,265	2,590	1,710	1,024	227	4,714	11,138	2,703	1,598	1,089	311	5,437

Avg. monthly incremental seller #

	2 2025.Jan - 2025 Jun						2025.Jun - 2024 July					
Import market	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID
Total	14	3	4	4	2	1	9	4	1	3	1	0
SIP	2	1	1	1	0	0	3	1	0	2	0	0
Direct Sell	0	0	0	0	0	0	0	0	0	0	0	0
CNCB SLS	6	2	2	1	1	0	5	2	1	1	1	0
CB LFF	0	0	0	0	0	0	0	0	0	0	0	0
CNLS	11	2	3	4	1	2	1	1	0	0	0	0

Avg. monthly incremental ADO

	2025.Jan - 2025 Jun						2025.Jun - 2024 Aug					
Import market	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID
Total	1,712	432	286	171	38	786	603	77	-69	43	70	482
SIP	0	0	0	0	0	0	0	0	0	0	0	0
Direct Sell	0	0	0	0	0	0	0	0	0	0	0	0
CNCB SLS	1	0	1	0	0	0	21	2	6	0	14	0
CB LFF	0	0	0	0	0	0	0	0	0	0	0	0
CNLS	1,711	432	285	171	38	786	582	75	-74	43	56	482

Highlight

1. Compared to other paths, **CNLS seller has a clear preference for opening a local shop**, due to its advantages in fee, BWT, local compliance, assortment coverage, etc., even though it takes much longer time and more resources
2. **But the process is slow, we moved ~10 sellers per month in 2025H1** as sellers typically will need to go through lengthy decision-making process,
3. **To accelerate the process,** we will require **heavier RM push, stronger incentives, cross-team efforts, and streamlined onboarding process** - for which reg cnls are working on CN and local to secure sufficient support

*Note *Onboarding time is marked when seller **has its first order by the specified path** in the destination market *Some sellers are still in the process of account transfer, so are not reflected in the date*

[Seller movement - action plan] we are co-working with owners of each path to accelerate seller movement

Path	PIC	Action plan
SIP	SIP	- **Mass pitching** alongside other SIP target sellers
Direct Sell	SIP	- **RM 1:1 pitching** - **Incubation program for first 3 months** (commission waiver, free ads, CFS slots)
CN SLS	CN SMT	- **Seller Program** with onboard commission waviers
CN LFF	CN SMT	- **Seller Program** with onboard commission waviers (for FBS only) and ads rebate (for both 3PF and FBS) - **RM KPI setting** linked to bonus
CNLS	Reg CNLS PMO	- **RM 1: 1 pitching** and **RM scripts standardization** - **Seller program** (commission waiver, free ads, CFS slots) *Details to follow* - **Onboarding instructions** - **FBS adoption acceleration**

[Back-up] MY offered 3-month growth package for newly acquired direct sellers to support them to ramp up CB selling capabilities, and incentivize them to co-invest to MY markets

Apply to all import-to-MY direct sellers, materials from SIP team

	Category	3-Month Platform Support (Following TB package)
Eligibility	All new MY direct sellers	
Rates	Commission fee	0% (for the first 3 months)
	Service fee (CCB + FSS)	0% (original setting)
BAU Exposure	Free Ads	Free Ads credit topped-up: $200 RM / month
	Ads Voucher	50% off after min spend $200 RM, cap at $200 RM / month (first come first serve)
	CFS	2-5 slots per month
Big Campaign Exposure	SSV	1. 1 x Feature Voucher 2. Enjoy 55% - 60% Voucher discount if participated
	LTD	Feature in all CB related collections

[Seller movement - CNLS seller program] We co-worked with local markets to provide a stronger incentive plan to accelerate seller movement

Specifically designed for CNLS site expansion program - PH pilot

Incentive Summary for PH pilot					
Sub-Type		Shopee Commit (3 months)			
		ID	MY	VN	TH
Per line item	Commission waiver&Platform support fee exemption*	All new brand sellers that have 80% of their SKUs' ASP above the HSES threshold will be eligible for fee reduction for up to Year 4	Enjoy 0% commission & platform support fee exemption within 120 days after listing first product or having 100 completed orders ,whichever comes first	-	**0% base com wavier; Cap each GP have only 1 shop quota to total wavier, monthly 500 orders/Shop**
	Ads Credit	**Frist month: $200 2nd & 3rd month: $150**	**100USD /month/seller**	**Ads Rebates 5% cap $100**	-
	CFS slot	**Frist month: up to 30 slots/month/seller 2nd & 3rd month: 15 slots/month/seller**	**2 slots/day/seller**	-	-
	CFS rebate	-	up to 5% item rebate	-	-
	Item Rebate	**Frist month: 8% item rebate 2nd & 3rd month: 5% item rebate**	-	-	-
	LTD Item Rebate	-	2-4% item rebate	-	-
	Co fund voucher support	-	Shopee covers 50%* of the voucher cost	*(Monthly)* Same voucher scheme with a budget up to 85% seller invest	-
	Voucher Rebate	-	-	**- Voucher rebates from $80 (more if seller have potential) - Visibility on "New Seller Collection"**	-
	livestream	-	-	**Change to join CBOA livestream**	-

Note: incentives marked as blue are specifically designed for site expansion program

[Seller movement - CNLS onboarding instructions] We aimed to provide step-by-step streamlined onboarding instructions

Stage	Materials provided	Details
Pre-onboarding	Market Overview	Market introduction deck including hot sale categories; Local events and spikes etc.
	Fee structure	Commission rate, CCB/FSS service fee, tax rate and any other seller cost
	Platform Enrollment	Qualifications documents, Shop opening SOP
	First-Mile Logistics	List of first-mile logistics customs clearance suppliers and qualifications
	Warehousing Services	List of warehousing suppliers and qualifications
		Local FBS operation guide and incentive package
	Payment Collection and Currency Exchange	List of currency exchange suppliers
Onboarding	Product Qualifications	Local special product qualification requirements and list of certification suppliers
	Platform Campaigns Overview	Platform campaign operations manual (including information on thematic campaigns, how to participate and what commitment needed etc.)
Post onboarding	Incentive package	Local new seller welcome package - tailored for seller movement
		Local seller programmes - to all eligible sellers

[Seller movement - CNLS FBS adoption acceleration] New sellers join FBS may have blockers for inbound request, we are co-working with local to resolve the issue

Ops rule	MY	PH	TH	VN
Free trial period	• **3-6 months** free trial, 12 months for PH VisMin • **Applicable for both CB LFF and CNLS sellers**			

IR Rules
Current rules
	• **Existing SKU:** model level ADO > 0.3
	• **New SKU from existing shop:** refer to shop level average model ADO
	• **For new shops**
	  • **CB FBS:** remove inbound request for **first 60 quantity per SKU**
	  • **Local FBS: Case by case review** by Local FBS PIC and Local ops team based on original market's SKU ADO, **proposing to follow CB FBS rule**
		• **Existing SKU:** model level ADO > 0.3
		• **New/seasonal SKU:** need exceptional approval
		• **For new shops**
		  • **CB FBS:** remove inbound request for **first 75 quantity per SKU**
		  • **Local FBS: Case by case review**, RM need to connect local incubation team for approval, **proposing to follow CB FBS rule**
			• **Existing SKU:** model level ADO > 0.3
			• **For new shops**
			  • **CB FBS:** remove inbound request for **first 75 quantity per SKU**
			  • **Local FBS: pending local confirm**
				• Local FBS Ops team built up replenishment model for sellers inbound quantity, **controlling DOC<= 25 days based on historical L14D ADIS, factoring in peak seasons**
				• **For new shops**
				  • **CB FBS:** no CBWH for VN
				  • **Local FBS: Case by case review,** RM need to connect local FBS PIC for approval, **proposing to follow CB FBS rule**

Blackstock control	• **BS definition 30-60 days** • **Higher charge fee** for BS • **Applicable for both CB LFF and CNLS sellers**			

Key highlights

- CNLS sellers currently **face challenges in meeting inbound requests for new SKU in new shops,** as current rule only allows **case-by-case review for new seller exceptions**. To address this, we are co-working with the local FBS and local ops teams, proposing lift inbound request restrictions for the initial FBS batch

[Seller movement - target setting] CNLS expected to have ~130 sellers onboarded and ~48k ADO by 2025 YE, have ~430 sellers onboarded and ~280k ADO by 2026 YE

Seller onboarded after 2025.01.01

Seller #	2025.Jun						2025.July						2025.Dec Target						2026.Dec Target					
Import market	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID
Total	115	26	31	30	17	11	124	30	32	33	18	11	*Pending final confirm*						*Pending final confirm*					
SIP	14	4	5	3	2	0	17	5	5	5	2	0	*Aligning target with SIP team*						*Aligning target with SIP team*					
Direct Sell	0	0	0	0	0	0	0	0	0	0	0	0	*Aligning targets with SIP team*						*Aligning targets with SIP team*					
CNCB SLS	34	9	11	6	8	0	39	11	12	7	9	0	*Aligning targets with CN SMT team*						*Aligning targets with CN SMT team*					
CB LFF	0	0	0	0	0	0	0	0	0	0	0	0	*Aligning targets with CN SMT team*						*Aligning targets with CN SMT team*					
CNLS	67	13	15	21	7	11	68	14	15	21	7	11	134	29	29	38	10	28	429	99	86	112	33	99

ADO by seller onboarded after 2025.01.01

ADO	2025.Jun						2025.July						2025.Dec Target						2026.Dec Target					
Import market	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID	Total	MY	TH	VN	PH	ID
Total	10,274	2,590	1,717	1,025	228	4,714	11,178	2,705	1,613	1,089	333	5,437	*Pending final confirm*						*Pending final confirm*					
SIP	0.5	0.2	0.2	0.1	0.1	0.0	0.2	0.1	0.0	0.1	0.0	0.0	*Aligning target with SIP team*						*Aligning target with SIP team*					
Direct Sell	0	0	0	0	0	0	0	0	0	0	0	0	*Aligning targets with SIP team*						*Aligning targets with SIP team*					
CNCB SLS	8	0	7	1	0	0	40	3	15	0	22	0	*Aligning targets with CN SMT team*						*Aligning targets with CN SMT team*					
CB LFF	0	0	0	0	0	0	0	0	0	0	0	0	*Aligning targets with CN SMT team*						*Aligning targets with CN SMT team*					
CNLS	10,265	2,590	1,710	1,024	227	4,714	11,138	2,703	1,598	1,089	311	5,437	47,947	7,813	9,058	14,484	1,544	15,049	280,152	45,131	50,950	102,255	33,929	47,887

Highlight

- We will co-work with SIP/CN SMT to align 2025 and 26 YE targets **for each seller movement path**
- For CNLS path, we expect to **have ~130 sellers, ~48k ADO by 2025 YE** (kick off PH and TH pilot), and **~430 sellers, ~280k ADO by 2026 YE** (roll out to MY/VN/ID) - detailed roll out plan in following pages
  - **Key assumptions incl.**
    - **Seller success rate:** type 1 sellers, top sellers 10% and mid sellers 5%; type 2&3 sellers, top 7% and mid 4%
    - **Seller onboarding cadence**: 25 15-20 seller newly onboarded per month, 20-30 sellers newly onboarded per month
    - **SKU migration ceiling:** ID, MY and PH/TH/VN as 3 groups classified by customers' preference; Within same group, assume 80% of SKU can be migrated; Across different groups, assume 60% of SKU can be migrated - validated by seller interview and same seller across-site SKU match results
- **Next step: to align with CB and local about seller movement target**

[Seller movement - target setting] We plan to push seller movement by market, aim to kick off PH and TH seller movement by 2025, and scale up the effort to MY/VN/ID in 2026

Preparation: incentive design, seller wishlist generation, onboarding instructions prepration, etc.
Kick off: seller pitching
Seller onboarding: xx sellers onboarded

Newly onboarded seller #

		Per month incremental newly exported sellers									
		2025-Jul	2025-Aug	2025-Sep	2025-Oct	2025-Nov	2025-Dec	2026-Mar	2026-Jun	2026-Sep	2026-Dec
Export market	All tiers	68	68	84	101	118	134	196	256	337	429
PH	Top tier	Preparation	Kick off	16	18	20	22	41	41	41	41
	Mid tier		Preparation	Kick off	11	22	33	66	99	155	221
TH	All tiers		Preparation	Kick off	4	7	11	21	32	50	71
ID	All tiers						Preparation	Kick off	8	12	15
MY	All tiers						Preparation	Kick off	5	8	10
VN	All tiers						Preparation	Kick off	4	4	4

Newly ADO exported

		Per month incremental newly exported ADO									
		2025-Jul	2025-Aug	2025-Sep	2025-Oct	2025-Nov	2025-Dec	2026-Mar	2026-Jun	2026-Sep	2026-Dec
Export market	All tiers	11,138	11,138	11,787	22,026	38,396	47,947	73,055	155,114	209,389	280,152
PH	Top tier	Preparation	Kick off	649	10,665	24,363	27,233	32,299	57,398	57,398	57,398
	Mid tier		Preparation	Kick off	138	1,792	5,926	18,328	30,731	44,925	69,731
TH	All tiers		Preparation	Kick off	85	1,104	3,650	11,290	18,930	27,674	42,954
ID	All tiers						Preparation	Kick off	33,664	63,078	92,166
MY	All tiers						Preparation	Kick off	1,839	3,447	5,036
VN	All tiers						Preparation	Kick off	1,413	1,729	1,729

Today

Highlight

- **By market prioritization logic**
  - **Export market:** to prioritize PH and TH due to largest seller # (PH ~ 7k, TH ~2k)
  - **Import market:** P0:VN/MY, due to smallest seller # (VN:200, MY:400)

[Seller movement - PH pilot] We have selected 95 top PH sellers to pitch, currently pitch rate 85%, success rate ~27%, by market success rate 6-15%

Pitch progress

Seller Type	Total eligible seller #	Total pitched seller #	Pitch rate
Total	95	81	85%
type 1a	56	51	91%
type 1b	1	1	100%
type 1c	7	0	0%
type 2	31	29	94%

Pitch success rate (agree to onboard at least one market)

Seller Type	Total pitched seller #	Pitched - Under Negotiation	Pitched - Under Seller's Decision	Pitched - Completed Successful	Pitched - Completed Unsuccessful	Success rate	Considering rate	Reject rate
Total	81	30	10	22	19	27%	49%	23%
type 1a	51	17	4	16	14	31%	41%	27%
type 1b	1	0	0	0	1	0%	0%	100%
type 1c	0	0	0	0	0	-	-	-
type 2	29	13	6	6	4	21%	66%	14%

Pitch success rate - by market

Seller Type	Total pitched seller #	Eligible seller # for movement (no local shop in destination mkt.)				Pitched - Completed Successful	Successful seller#					Success rate	Success rate to specific destination mkt.			
		ID	MY	TH	VN		ID	MY	TH	VN	Not specified		ID	MY	TH	VN
Total	81	46	62	55	52	22	7	4	7	6	6	27%	15%	6%	13%	12%
type 1a	51	29	48	37	38	16	2	4	5	3	5	31%	7%	8%	14%	8%
type 1b	1	0	0	0	0	0	0	0	0	0	0	0%	-	-	-	-
type 1c	0	0	0	0	0	0	0	0	0	0	0	-	-	-	-	-
type 2	29	17	14	18	14	6	5	0	2	3	1	21%	29%	0%	11%	21%

Reject reasons breakdown

Seller Type	Pitched - Completed Unsuccessful	Seller # by reject reasons			Seller % by reject reasons		
		Strategically to only focus on current site	Resources constranits	Lack of warehouse	Strategically to only focus on current site	Resources constranits	Lack of warehouse
Total	19	11	7	1	58%	37%	5%
type 1a	14	9	4	1	64%	29%	7%
type 1b	1	1	0	0	100%	0%	0%
type 1c	0	0	0	0	-	-	-
type 2	4	1	3	0	25%	75%	0%

Key highlights

- **Pitching progress**: we selected 95 top PH CNLS sellers for seller movement pitch, current pich rate 85%
  - **Type 1c has no clear regional assignment**, for seller movement pitch pool, ~60 type 1b and 1c seller currently don't have regional role assigned
- **Pitching success rate:** 27% success rate, 49% sellers are still under negotiation or pending internal review
  - **By seller type**, **type 1a seller has higher success rate** as as they are already regional players with strong synergies for site expansion
  - **By market, 1) large markets** are more attractives to sellers, 2) **overall success rate higher than 2025 H1 (2-8%)** as stronger incentives, step-by-step onboarding instructions are provided, and coordinated efforts across teams
- **Reject reanos:** majority of sellers reject due to strategic or resource concern, 5% concern about WH resources, **RM is introducing FBS solution**
- **Next Step**
  - **1) CN SMT to assign regional role for type 1b and 1c sellers; 2) RM to follow up on sellers status** who are still considering; **3) RM to provide FBS solution introduction** for sellers blocked by local WH resources; 4) **CNLS** to coordinate local to provide **onboarding assistance** and **implement incentives**

Key Topics

1. **LFF**
   a. Performance Update
   b. Incentive Plan
   c. Short Term Blocker Progress Update
   d. Free Trial Update
2. **CNLS**
   a. Performance Update
   b. SOB Update and Fashion deep dive
   c. Seller movement
   d. **FBS update**
3. **Counter TB**
   a. Performance Update
   b. Incentive Plan
   c. Assortment Gap
   d. Price Comp

[CNLS FBS - executive summary]

- **Aug FBS Performance:** CN CNLS RR at **14%**, mainly due to **mass pitching started only since July**, with current pitching progress 89% and 12% success. **Need RM to further push pitching success sellers to start onboarding and accelerate the process.**
- **Incentive plan alignment: CNLS has largely aligned with CB LFF on seller acquisition incentives** with free trial across market to avoid arbitrage. Also, as CNLS sellers are **mainly conducting local business, they will more focus on local incentives.** Thus, the two sets of incentives plans are not confusing and will not lead to arbitrage. For next step, will work with local FBS to set **seller growth incentives**.
- **Ops blockers removal: CNLS has built ops issue process largely aligned with CB LFF.** Current ops blockers for CNLS sellers are mainly **onboarding and inbounding issues** and team **has taken steps to resolve key issues** with local FBS teams.
- **Local FBS cost competitiveness:** Local FBS RC has **limited competitiveness without free trial** and incentives. For long term, **need to review RC with local FP&A and local FBS to revamp.**

[FBS Performance] Overall FBS ADO has shown good MoM uplift, while CN CNLS Aug RR lag behind due to late pitch start in July

Local FBS performance updates:

- **All team FBS ADO showed good MoM uplift** compared to July except MY Local CNLS, due to seller OOS in FBS
- Though MoM uplift, **CN CNLS FBS% RR still lagging behind**: CN CNLS has just started pitching since July, with current pitching progress 89% across market, among which 12% success rate. The RR lagging behind targets mainly because sellers are still under onboarding process(deep dive next page)
- **Reg CNLS have worked with CN to set training session for RMs, build up ops blocker resolve cadence and chase for more onboarding and inbound progress visibility, will further push sellers for conversion and help sellers to inbound before peak season to reach the year-end target**

As of 12 Aug 2025		FBS ADO			FBS%			FBS% RR
Market	Seller type	Aug 2025	Jul 2025	1 MoM%	Aug 2025	Jul 2025	MoM%	2 Aug RR
All	CN CNLS	835	93	794.3%	0.15%	0.02%	0.13%	14%
	Local CNLS	6,058	4,757	27.4%	0.81%	0.65%	0.16%	/
	Local Managed Sellers	165,685	111,997	47.9%	2.21%	1.68%	0.53%	/
	Local Platform	166,747	113,004	47.6%	1.32%	1.00%	0.32%	/
MY	CN CNLS	295	38	686.3%	0.28%	0.04%	0.24%	42%
	Local CNLS	3	7	-63.5%	0.01%	0.04%	-0.03%	2%
	Local Managed Sellers	23,933	15,846	51.0%	3.71%	2.73%	0.98%	/
	Local Platform	24,246	16,182	49.8%	1.65%	1.22%	0.43%	/
PH	CN CNLS	398	10	3803.5%	0.22%	0.01%	0.21%	14%
	Local CNLS	2,788	2,239	24.5%	0.64%	0.49%	0.15%	*Track differently*
	Local Managed Sellers	32,065	25,577	25.4%	1.23%	0.98%	0.25%	/
	Local Platform	32,259	25,759	25.2%	0.92%	0.76%	0.16%	/
TH	CN CNLS	75	31	142.8%	0.04%	0.02%	0.02%	21%
	Local CNLS	2,996	2,398	24.9%	1.24%	1.10%	0.14%	*Track differently*
	Local Managed Sellers	33,624	23,510	43.0%	2.28%	1.89%	0.39%	/
	Local Platform	33,864	23,736	42.7%	1.12%	0.85%	0.27%	/
VN	CN CNLS	67	15	356.5%	0.08%	0.02%	0.06%	9%
	Local CNLS	272	113	141.3%	0.53%	0.31%	0.22%	61%
	Local Managed Sellers	76,064	47,064	61.6%	2.75%	2.09%	0.65%	/
	Local Platform	76,379	47,326	61.4%	1.65%	1.23%	0.42%	/

[FBS Performance] CN CNLS has high pitch sucess rate, low RR due to sellers still onboarding, need RM to closely monitor seller onboarding better push and local to fasten the process

CN CNLS performance deepdive:

1. **Pitching rate is high while inbound rate is still low.** CN CNLS has started mass pitching since Jul, and has reached overall pitching rate at 92.4% in terms of GGP count, with pitching success rate at 10.2%, however the already inbound GGP is only at 1.9%[1], due to:
   2. **Most sellers are still preparing and not yet start onboarding,** with 4.4% out of 10.2% pitching success GGP, among which MY CN CNLS has the highest ratio with 10.4% out of 19.7%. **Need RM to better push and step by step help sellers to onboard - onboarding process tracker for all four markets built to ensure visibility**
   3. **Sellers still under onboard contracting process:** 2.1% out of 10.2% pitching success GGP are still under contracting process, **with MY lack of Individual Shop onboarding material guidance and PH back and force re-submit documents.** However, these issues **have been solved by 15 Aug** and normally it will only takes 1-4 days for local to approve seller onboard
   4. **PH main WH met limit space issues,** leading to delayed PNPO, with 1.7% out of 12% success GGP still waiting for inbound approval. **PH is now encouraging sellers to inbound VisMin instead and going to open a new inbound facility in mid Sep and start mass receiving since then**

CN CNLS Sellers #GGP[2]	Total		MY		PH		TH		VN	
as of 14 Aug	#GGP	#GGP%	#GGP	#GGP%	#GGP	#GGP%	#GGP	#GGP%	#GGP	#GGP%
Total #GGP	**728**	**100.0%**	**173**	**100.0%**	**234**	**100.0%**	**193**	**100.0%**	**128**	**100.0%**
Total Pitched #GGP	**673**	1 **92.4%**	**173**	**100.0%**	**208**	**88.9%**	**170**	**88.1%**	**122**	**95.3%**
Pitching Success #GGP	**74**	**10.2%**	**34**	**19.7%**	**28**	**12.0%**	**8**	**4.1%**	**4**	**3.1%**
RM no response	7	1.0%	4	2.3%	1	0.4%	1	0.5%	1	0.8%
2 Sellers not start onboarding	32	4.4%	18	10.4%	9	3.8%	3	1.6%	2	1.6%
3 Under contracting process	15	2.1%	7	4.0%	5	2.1%	3	1.6%	0	0.0%
Sellers onboarded, preparing for PN	2	0.3%	0	0.0%	2	0.9%	0	0.0%	0	0.0%
PH WH limit space to inbound	4	0.5%	0	0.0%	4	4 1.7%	0	0.0%	0	0.0%
Already inbound #GGP	14	1.9%	5	2.9%	7	3.0%	1	0.5%	1	0.8%

Note:
[1] Once a shop under the GGP agree to inbound FBS, the GGP will then be marked as whole GGP inbound FBS, even though it's only one of the sku in the shop of the GGP inbound FBS
[2] Based on RM feedback on sellers onboarding process

[FBS - Seller Incentives] local & CB FBS acquisition incentive aligned; local growth incentive in design

- **CB and local FBS aligned in free trial:** Both CB and local FBS is offering free trial to attract new sellers to onboard
- **CNLS will follow local incentives:** to avoid potential seller complaints due to differentiated treatment vs. local-local sellers, and avoid opportunities for arbitrage
- **Sellers will not get confused by 2 sets of incentives:** most CN CNLS sellers are dominant in local shops, with 82% of sellers and 86% ADO are from CN CNLS dominant sellers. Even sellers operating both CB and CNLS shops will not get confused as they have different ops persons for different shop modes

WH Type	New FBS seller acquisition incentives		Existing FBS seller growth incentives
Incentive Type	**Handling fee free trial**	**Commission fee waiver**	**Incentives including slots, rebate, FSV and ads credit**
CB FBS	**Aligned in free trial across markets**, with TH CB FBS free trial duration TBD and other markets fully aligned	3 months commission waiver, **will sunset next year**	RVP seller program and T1 seller program by market
Local FBS		/	**Local FBS is still designing, CNLS will overall follow local schemes**

Note:
CB FBS discount and incentives from Reg LFF and local FBS incentives from local FBS

[FBS Ops] CNLS and CB LFF overall follow similar ops issue process but with different commercial PIC

After sellers and RM reporting issues, CNLS and CB LFF follow the same two routes to solve FBS ops issues, but different in commercial PIC between CNLS and CB LFF:

- **Day-to-day issues:** CNLS and CB LFF have the **same WH ops team and RM t**o deal with sellers day-to-day FBS related ops issues. They follow the **same route** by RM directly raising issues in the seatalk group to WH ops
- **Systematic issues:** CNLS and CB LFF have the **same WH ops team but different commercial PIC** to deal with sellers systematic blockers. **People who decided the rules are different between CNLS and CB LFF,** where CNLS follows local rules decided by WH ops team and aligned with local FBS team, while CB LFF rules are decided directly by Reg LFF team and aligned with WH ops team

Same | **Different**

Ops Issues Split	Function Split	PIC		Process	
		CNLS	CB LFF	CNLS	CB LFF
Day-to-day issues	WH side	WH ops team	WH ops team	Seatalk group instant communication with RM	Seatalk group instant communication with RM
Systematic blockers	WH side	WH ops team	WH ops team	**WH ops team** decide rules and align with **local FBS team**	**Reg team (Reg LFF)** decide rules and align with **WH ops team**
	Commercial side	CN SMT(**CN CNLS**) **/ Local CNLS** --> Reg team (**Reg CNLS**) --> **Local FBS team**	CN SMT(**LFF**) --> Reg team (**Reg LFF**) --> **Local CB**		

Note:
Day-to-day issues: include sellers onboard process, inbound slot, miss packaging, wrong shipment
Systematic blockers: include onboard procedure, inbound rules, VAS, blackstock issues

[FBS Ops] Current blockers mainly focus on onboard and inbound procedures, and have worked with local FBS team to optimize

- **Current pain points for CNLS sellers onboard FBS mainly focus on onboard procedure and inbound rules unclearness**, which will mostly be solved by organizing CNLS RM training sessions and dedicated FBS RM
- **PH main WH meet utilization issues with no much space for sellers to inbound,** will temporarily adjust Aug FBS KPI and open new inbound facilities in mid-Sep to start mass receiving

Blockers	Solution/Action Plan	Aligned PIC	MY	PH	TH	VN
Onboard procedure	**Onboarding procedure unclearness: Local FBS to organize training session for CNLS RM / connect CNLS RM with dedicated FBS RM to help on the inbound process**	Local FBS	Done	Done	**Training session pending local**	Done
	Inconvenient offline contracting process in MY/VN and offline PNPO in PH: Systemize the contracting and PNPO process through FBS portal	Local FBS	Offline approval within 3 days, online contracting ETA Q4'25	Online PNPO with FBS system, ETA pending	/	Offline approval within 3 days
	Inefficient onboard and PNPO approval process: Daily approve onboard and inbound request	Local FBS	Done	**Get delayed due to limited PH WH space**	Done	Done
Inbound constraints	**Unclearness of inbound request rules:** Align with local on IR rules, CNLS follow local schemes	Local FBS / Local FBS Ops	Model level ADO > 0.3	Model level ADO > 0.3	Model level ADO > 0.3	DOC 25 days based on historical L14D ADIS
	PH WH in Luzon no space to inbound: Local FBS to clear out existing blackstock, encourage sellers to inbound VisMin WH first and open new facility	Reg WH / Local FBS / Local FBS Ops	/	**Open new inbound facility by Mid-Sep**	/	/
Limited VAS selection	**Bundle sales:** Enable bundle sales with existing link as VAS to onboard more FMCG sellers	Local FBS	ETA Q4'25	Done	Done	**Pending local discussion**
Co-shared stock	**Co-shared stock:** Enable co-shared stock function for FBS to onboard more lifestyle and UST sellers	Local FBS	ETA Q4'25			
Bulky Constraints	**CNLS sellers overall follow local policies, can do large but no bulky**	Local FBS / Local FBS Ops	Can do bulky	Exclude bulky in target		
Blackstock control	**Tracker for long term monitoring:** Reg CNLS and Reg WH need to monitor blackstock age/qty%/CBM% though current CNLS sellers are still under onboarding stage	Reg WH / Reg CNLS	Done			
IB/OB efficiency	**Tracker for long term monitoring:** Reg WH need to monitor WH inbound / outbound efficiency especially before d'day	Reg WH / Local FBS Ops	Done			

Note:
Collect from RM feedback and local FBS PIC

[FBS - Cost competitiveness] FBS cost competitiveness limited; although FBS maintains other competitive edges, need to further optimize CPI to compete

Seller cost per item* ($, inclusive of only handling fee and storage fee, assuming free trial and discount periods end)

		FBS	3PF (bespoke version)	Seller-owned (rent)	Seller-owned (built)
MY	X small	0.14	0.09	0.02	0.02
	Small	0.28	0.16	0.04	0.03
	Standard	0.43	0.32	0.06	0.04
	Large**				
	Bulky	5.12	1.63	0.74	0.52
TH	X small	1 0.05	0.09	0.05	0.03
	Small	0.10	0.15	0.06	0.03
	Standard	0.35	0.32	0.08	0.04
	Large	0.79	0.67	0.13	0.07
	Bulky	not applicable	1.48	0.22	0.12
VN	X small	1 0.07	0.09	0.01	0.01
	Small	0.12	0.18	0.02	0.01
	Standard	0.36	0.24	0.05	0.03
	Large	not applicable	0.67	0.15	0.11
	Bulky	not applicable	1.64	0.47	0.33
PH	X small	2 0.11	0.09	0.02	0.02
	Small	0.17	0.17	0.03	0.02
	Standard	0.37	0.26	0.06	0.04
	Large and X large	1.88	0.83	0.34	0.24
	Bulky	not applicable	3.61	0.43	0.30

Highlights

1. **TH & VN:** FBS CPI undercuts 3PF (bespoke RC) for only x-small and small items due to their competitive rate card, but still higher than seller-own WH
2. **PH:** FBS CPI for x-small and small items are at the same level as 3PF (bespoke RC)

- **MY:** FBS CPI has no cost advantage versus 3PF (bespoke RC)

- **Short term:** handling fee free trial and incentives (e.g. platform supporting fee waiver, PRM support, FSV etc) to better capture sellers
- **Long term:**
  - FBS still has **competitive advantage except cost efficiency** in terms of 1) potential traffic advantage; 2) no risk of WH being sealed; 3) better WH management with lower APT;
  - However, **FBS RC needs to be revisited to ensure competitiveness**

Note: (*) FBS CPI = handling fee + storage fee; 3PF= handling fee + storage fee, where 3PF rate card is using bespoke version; seller-own CPI is from seller survey; storage fee is calculated by seller survey on sellers' average turnover days
(**) MY rate card only differs in side length between large and bulky, under the assumption of the same density, all items will fall into standard or bulky categories

Key Topics

1. **LFF**
   a. Performance Update
   b. Incentive Plan
   c. Short Term Blocker Progress Update
   d. Free Trial Update
2. **CNLS**
   a. Performance Update
   b. SOB Update and Fashion deep dive
   c. Seller movement
   d. FBS update
3. **Counter TB**
   a. Performance Update
   b. Incentive Plan
   c. Assortment Gap
   d. Price Comp

[TB vs SHP SOB] Since Feb'25, SHP has improved its SOB vs TBG by 0.3x to 4.8x, we target to be at 5.7x by Dec'25 with 3.5M ADO; ADG saw improvement from 1.1x to 1.2x, target to reach 1.4x by Dec'25 with 24.5M

Total (SEA + TW)		SOB						SHP CB						TBG				
		Feb'25	Mar'25	Apr'25	May'25	Jun'25	Dec'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25	Dec'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25
Metric	Category	*Actuals*					*Target*	*Actuals*					*Target*	*Actuals*				
ADO (in K)	**CB total**	**4.5**	**4.9**	**4.2**	**4.8**	**4.8**	**5.7**	**2,550**	**2,609**	**2,415**	**2,718**	**2,872**	**3,463**	**562**	**531**	**578**	**563**	**600**
	...4 Focus cats total	**4.2**	**4.6**	**3.9**	**4.4**	**4.5**	**5.4**	**1,588**	**1,679**	**1,530**	**1,711**	**1,807**	**2,239**	**375**	**363**	**394**	**389**	**404**
	.....Fashion	5.3	5.7	4.6	5.3	5.3	7.2	$887	960	867	966	1006	1,375	167	168	189	184	191
	.....Home & Living	10.8	10.3	9.7	10.7	10	10.3	$296	309	294	330	370	355	27	30	30	31	37
	.....F&B	0.4	0.5	0.5	0.6	0.6	0.5	$52	53	53	59	64	54	116	104	106	104	102
	.....Beauty	5.4	5.9	4.6	5.0	5.0	6.5	$354	357	316	356	367	454	66	61	69	71	74
ADG (in K)	**CB total**	**1.1**	**1.2**	**1.1**	**1.2**	**1.2**	**1.4**	**18,391**	**19,002**	**17,990**	**19,595**	**20,517**	**24,571**	**16,538**	**15,607**	**16,709**	**16,337**	**17,409**
	...4 Focus cats total	**0.9**	**1.0**	**0.9**	**1.0**	**1.0**	**1.2**	**11,481**	**12,038**	**11,143**	**12,088**	**12,403**	**16,875**	**12,466**	**11,847**	**12,771**	**12,510**	**12,912**
	.....Fashion	1	1.1	0.9	1	1	1.4	6,279	6,656	6,061	6,612	6,680	9,221	6,047	5,934	6,622	6,501	6,573
	.....Home & Living	3.4	3.6	3.3	3.4	3.1	4.7	2,481	2,650	2,489	2,699	2,849	4,059	721	746	744	789	923
	.....F&B	0.1	0.2	0.2	0.2	0.2	0.2	549	555	572	616	662	884	3,989	3,572	3,645	3,389	3,531
	.....Beauty	1.3	1.4	1.1	1.2	1.2	1.5	2,171	2,177	2,021	2,161	2,212	2,710	1,710	1,594	1,760	1,831	1,884

Key Highlights:

1. From Feb'25 - Jun'25, TB SOB ADO has increased from 4.5x to 4.8x with focus categories increasing from 4.2x to 4.5x.Target to reach 5.7x by Dec'25.
2. Similarly, TB SOB ADG saw a similar increase from 1.1x to 1.2x with focus categories increasing from 0.9x to 1x. Target to reach 1.4x by Dec'25.

[Recap] Counter TB Key Focus Areas - [A] Ensure sufficient resources to drive SKU growth, while pushing for [B] assortment completeness and [C] price competitiveness

	Program Objectives	Details	Key Success Metrics	MTD Performance	Highlights	Dec'25 Target
A	Drive Program Seller Growth	- Provide attractive acquisition package to attract new seller to platform - Provide attractive package to ensure sellers engage in sourcing & price negotiation	Program ADO% to CB L1 Program ADO% to Platform L1	**4.8 ADO% to CB L1** **RR 93%**	From Apr'25 to Aug'25, ADO% to CB L1 have improved from 1.2% to 4.8% across SEA + TW **Aug'25 below target due to slow ramp up of Lever 3 (deep dive in subsequent slides)**	**8.9% ADO% to CB L1**
B	Grow SKU Assortment Completeness vs TBG	- Develop guidebook & wishlists for selected traders to source top 400K TBG SKUs across focus cats	% SHP SKUs Matched to TBG	**55% Match Rate** **RR 103%**	From Apr'25 to Jul'25, % SHP SKUs matched to top TBG SKUs has improved from 38% to 55% across SEA + TW	**80%**
C	Ensure Price Competitiveness vs TBG	- Weekly matching to ensure price competitiveness vs top TBG SKUs across focus cats	Net Price Comp vs TBG	**NPC: -6%** **RR 67%**	As of 2 Aug, net price comp for 49K SHP SKUs matched to top 22k TBG SKUs is at -6% at total buyer paid price. Next Step: We will start engaging with sellers to negotiate price adjustments for 25K SHP uncompetitive SKUs down to target price from 18 Aug - 25 Aug	**40%**

A [Counter TB Program Aug'25 Performance] MTD ADO at 85K, MoM +39%, RR 94% due to Lever 3: ERP target missed. ADO% to CB MoM +0.8pp to 4.8%

Metric	Levers	Total					Fashion					Furniture					Food & Beverage					Beauty				
		Aug'25			Sep'25	Dec'25	Aug'25			Sep'25	Dec'25	Aug'25			Sep'25	Dec'25	Aug'25			Sep'25	Dec'25	Aug'25			Sep'25	Dec'25
		MTD	MoM	RR	Target	Target	MTD	MoM	RR	Target	Target	MTD	MoM	RR	Target	Target	MTD	MoM	RR	Target	Target	MTD	MoM	RR	Target	Target
Program ADO	1. New Seller Acquisition	3,692	46%	90%	7,264	26,872	2,703	37%	101%	3,502	6,748	122	66%	129%	146	404	0	-	6%	14	79	867	78%	66%	3,602	19,641
	2. SKU Sourcing By Selected Traders	80,296	38%	99%	90,955	120,039	45,116	16%	94%	53,194	70,763	2,531	21%	103%	2,827	4,044	1,700	68%	94%	2,890	6,694	30,949	93%	107%	32,044	38,538
	3. SKU Sourcing By ERP	847	553%	16%	15,038	43,728	803	552%	23%	9,642	24,933	0	-	0%	123	287	43	567%	4%	3,432	10,145	0	-	0%	1,841	8,363
	4. SKU Sourcing By SCS	154	-8%	71%	217	361	154	-8%	71%	217	361	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Total	**84,989**	39%	94%	**113,474**	**191,000**	**48,623**	18%	90%	**66,555**	**102,805**	**2,653**	23%	102%	**3,096**	**4,735**	**1,744**	71%	28%	**6,336**	**16,918**	**31,816**	93%	103%	**37,487**	**66,542**
Program ADO% (excl CNLS) to CB L1	**Total**	**4.8%**	0.8 pp	93%	**6.2%**	**8.9%**	**5.0%**	0.6 pp	88%	**6.7%**	**8.8%**	**0.7%**	0.1 pp	104%	**0.8%**	**1.0%**	**2.5%**	1.0 pp	55%	**9.2%**	**20.8%**	**8.9%**	4.1 pp	102%	**10.2%**	**15.3%**
Program ADG	1. New Seller Acquisition	26,652	39%	75%	66,673	242,298	18,116	36%	78%	34,810	79,798	4,905	33%	128%	5,508	13,903	2	-	6%	126	683	3,629	68%	43%	26,229	147,914
	2. SKU Sourcing By Selected Traders	793,527	26%	97%	933,214	1,311,809	466,686	14%	93%	569,154	813,147	113,063	23%	102%	127,810	182,193	12,003	51%	84%	23,399	55,073	201,774	63%	105%	212,851	261,396
	3. SKU Sourcing By ERP	3,859	241%	8%	146,231	431,685	3,728	239%	12%	85,218	220,300	0	-	0%	3,342	7,860	129	297%	1%	36,820	108,821	2	-	0%	20,851	94,704
	4. SKU Sourcing By SCS	776	-3%	82%	951	1,187	776	-3%	84%	951	1,187	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Total	**824,814**	26%	91%	**1,147,069**	**1,986,979**	**489,307**	16%	88%	**690,133**	**1,114,432**	**117,968**	23%	102%	**136,660**	**203,956**	**12,134**	52%	45%	**60,345**	**164,577**	**205,405**	63%	99%	**259,931**	**504,014**
Program ADG% (excl CNLS) to CB L1		**6.2%**	0.9 pp	86%	**8.7%**	**12.3%**	**7.1%**	0.6 pp	85%	**9.9%**	**12.9%**	**3.8%**	0.6 pp	98%	**4.4%**	**5.3%**	**1.6%**	0.5 pp	41%	**8.2%**	**18.1%**	**8.3%**	2.4 pp	88%	**11.3%**	**17.8%**
Program Shop#	1. New Seller Acquisition	113,923	990%				474	-5%				113,361	1045%	-			6	200%				82	51%			
	2. SKU Sourcing By Selected Traders	156,064	311%				34,993	0%				120,375	4391%	-			366	51%				330	92%			
	3. SKU Sourcing By ERP	139	43%		-		117	34%		/		0	-	-		/	10	0%		/		12	-		/	
	4. SKU Sourcing By SCS	16	0%				16	0%				-	-	-			-	-				-	-			
	Total	**270,142**	457%				**35,600**	0%				**233,736**	1758%	-			**382**	51%				**424**	87%			
Program SKU# (in K)	1. New Seller Acquisition	42	11%	66%	79	134	37	7%	63%	71	111	2	26%	86%	4	10	0	10019%	147%	1	3	2	71%	176%	3	10
	2. SKU Sourcing By Selected Traders	1,087	11%	97%	1,279	1,621	750	10%	99%	858	1,081	264	0%	93%	311	371	38	15%	76%	77	134	35	538%	118%	33	35
	3. SKU Sourcing By ERP	56	76%	1%	13,971	32,322	55	78%	2%	5,533	9,932	0	-	0%	82	116	1	15%	0%	6,805	15,904	0	-	0%	1,552	6,370
	4. SKU Sourcing By SCS	0.2	-3%	58%	1	2	0.2	-3%	58%	1	2	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Total	1,186	13%	18%	**15,329**	**34,079**	842	13%	27%	**6,462**	**11,126**	267	1%	83%	**397**	**497**	40	16%	1%	**6,882**	**16,041**	37	455%	7%	**1,588**	**6,415**
Program PC2%	**Total**	0.30%	-0.6 pp		-		-0.20%	1.5 pp		-		2.20%	-5.4 pp		-		-0.90%	-7.3 pp		-		-0.60%	-3.2 pp		-	

Key Highlights:

1. **MTD ADO at 85K**
   a. **Lever 1:** MTD 3.7K ADO RR at 90%, MoM +46%, growth is driven mainly by fashion seller acquisition. The gap from the target is due to low beauty seller acquisition. Next step: Further increase beauty seller acquisition in August through mega offline events, cold calling, and MCN seller referrals.
   b. **Lever 2:** MTD 80.3K RR 99%, MoM +38%, overall sourcing is on track with 1.1M program SKUs to date. Fashion contributes 75% of the total SKU pool. Next step: Expand the SKU wishlist based on newly aligned subcategories (e.g., include small furniture items and refresh Fashion/F&B to reflect seasonal demand).
   c. **Lever 3:** MTD 847 ADO RR 16% MoM +553%. Low RR due to mass pitching cancellations and a slow manual onboarding process for interested sellers. Next step: Focus on 1:1 direct pitching to sellers with support from CN Acquisition team. System fix has been deployed to improve onboarding process (e.g. shop creation/listing) from 11 Aug.
   d. **Lever 4:** MTD 154 ADO RR 71% MoM -8%.

A Lever 1 - New Seller Acquisition: YTD RR at 87% with Aug nominations under review; RR gap mainly in Beauty (58%), will catch up by 1) manpower adjustments, 2) improved leads, 3) increased outreach channels

Status (YTD)	Metrics	Fashion	Furniture	F&B	Beauty	Total
(1) Sellers accepted to join SHP	**Seller#**	**143**	**83**	**30**	**74**	**330**
(2) Sellers nominated for local review	**Seller#**	**128**	**61**	**17**	**47**	**253**
… Rejected by Local	Seller #	4	16	1	2	23
… Pending Local Review	Seller #	7	9	7	14	37
… Pending Shop Opening	Seller #	10	-	-	-	10
…(3) Join program	**YTD Seller# Actual (Aug)**	**107**	**36**	**9**	**31**	**183**
	… July Seller# Actual	78	23	2	20	123
	… Aug incremental seller #	29	13	7	11	60
	YTD Seller# Target (Aug)	114	37	5	53	209
	Seller# RR	**94%**	**97%**	**180%**	**58%**	**87%**

2

Key Highlights:

1. As of 14 Aug, 183 new sellers have joined program, MTD RR 87%. Aug batch 2 nominated new sellers pending local review (expect feedback next week), **we expect to hit overall seller # target after batch 2 review**.
2. Current gap mainly from **Beauty** (MTD RR 58%). We plan to further push Beauty to hit Aug target through multiple **next steps**:
   a. **Manpower adjustments:** Shifted 2.5 FTEs from F&B to support Beauty Acquisition
   b. **Improved Leads & Conversion :** Expect to get 10 high-quality leads from ERP JST by mid Aug, will conduct offline visit to increase conversion rate.
   c. **Increased Outreach Channel** : planned to further push seller acquisition in Aug through multiple channels, e.g. mega offline events, cold call, MCN seller referral, etc

Lever 2 - SKU Sourcing By Traders: YTD Sourcing is on track at 106% with 55.2k new SKUs sourced since Jan, of which 23.5k were sourced in July; Aug expect to be on track by EOM

		Fashion	Furniture	F&B	Beauty	Total
Jan'25-July'25 Performance	Sourced SKU # target	21,833	29,000	1,242	101	52,176
	Sourced SKU # actuals	22,620	30,432	1,797	320	55,169
	Sourced SKU # RR	104%	105%	145%	317%	106%

July'25 Performance Deepdive	Sourced SKU # target	17,483	-	828	67	18,378
	Sourced SKU# nominated by sellers	31,387	-	1,733	211	33,254
	Sourced SKU# approved by local*	21,589	-	1,727	207	23,523
	SKU # RR	123%	-	209%	309%	128%

*Note: Sourced SKUs are reviewed for match quality and price competitiveness; current RR reflects only match quality—further drop-off expected after price review.

Key Highlights:

1. **YTD to Jul'25:** sourcing is on track with **55.2K new SKUs sourced** according to the wishlist, **RR at 106%**. Of which 23.5K SKUs were sourced in July, RR 128%
2. **Next Steps:**
   a. **Wishlist Expansion:** In August, we expanded wishlist based on newly aligned subcategories (Expanding Furniture into smaller furniture) & refresh Fashion/F&B to reflect seasonal changes in product listing
   b. **Improve Seller Nomination Detection:** In August, we enhanced the sourcing nomination process by working with BI to detect successful uploads by seller according to the wishlist, improving the previous method where we required seller to feedback manually which was prone to error and time-consuming for both sellers and local teams to review.
   c. **Improve Price Review Criteria** : In August, we refined our approach by introducing category and region specific price thresholds based on SHP vs.TBG price analysis, replacing the previous blanket 120% threshold which sellers found difficult to meet due to structural pricing differences

Lever 3 - SKU Sourcing by ERP: MTD RR at 19% due to 1) limited seller outreach from mass pitching cancellation & 2) slower onboarding from operational issues (fixed) 3) manual listing efforts required from sellers

Status	Total	Fashion	Furniture	F&B	Beauty	Other Categories
# of sellers that expressed interest	66	29	3	21	3	10
…# of sellers passed audit check	58	27	3	18	3	7
……# of sellers that have opened shop	53	26	3	17	1	6
……# of sellers that have passed ERP check	47	24	2	15	1	5
……# of sellers that have completed onboarding process	46	24	2	14	1	5
1 **……# of sellers that have listed items**	22	14	1	3	1	3
# of base items	14,792	13,652	16	490	88	546
# of MTSKUs created	13,849	12,873	16	349	82	529
# of MPSKUs published (10 markets) [a]	108,704	104,771	152	1,640	586	1,555
…MPSKU publish success rate %	78%	81%	95%	47%	71%	29%
Target MP SKUs to publish [b]	583,052	183,671	2,960	195,306	21,826	179,288
2 **RR% [a/b]**	**19%**	**57%**	**5%**	**1%**	**3%**	**1%**

Highlights:

1. YTD, 22 sellers have listed on SHP, RR 19% due to:
   a. **Limited seller outreach** due to mass pitching cancellation (next page for more details): **Key factor for low RR**
   b. **Slower onboarding process for interested sellers:** This has been resolved with **onboarding automation being launched on 11 August**
   c. **Manual listing efforts required from sellers:** Amongst interested sellers, the largest drop-off occurs between onboarding (46 sellers) and sellers who completed listing (22 sellers) was mainly due to the high level of offline coordination required from sellers. Next step: **BPO hired to liaise with sellers daily and push them to improve their listing upload pace**

Lever 3 - SKU Sourcing by ERP: Mass pitching will not proceed due to JST internal business concerns, we will switch to 1:1 pitching and maintain 90K ADO Dec'25 target ambition by focusing on top sellers

Plan	Owner	Drivers	ADO		Cumulative Seller#		Cumulative SKUs #	
			Aug	Dec	Aug	Dec	Aug	Dec
Original	MKT	1a. Mass Pitching	9,045	58,746	7,415	24,672	6,753,091	15,720,780
	SAI	1b. SAI Pitching	192	934	162	375	192,390	7,051,289
	MKT	1c. WDT 19 mil	934	31,093	186	4,840	1,061,077	27,588,000
	Total		**10,171**	**90,773**	**7,763**	**29,887**	**8,006,558**	**50,360,069**
New	MKT	2a. 1:1 Pitching/Visits	160	32,760	20	1,820	40,000	10,920,000
		2b. PR/Articles	320	720	40	120	80,000	240,000
		2c. Livestream	96	312	12	52	24,000	104,000
		2d. Push Notification	1,600	8,400	200	1,400	400,000	2,800,000
		MKT Subtotal	**2,176**	**42,192**	**272**	**3,392**	**544,000**	**14,064,000**
	SAI	3a. Rejected + Exiting Seller Pitching	886	26,677	2	375	39,052	7,051,289
		SAI Subtotal	**886**	**26,677**	**2**	**375**	**39,052**	**7,051,289**
	WDT	4a. WDT Top 1000 Sellers Pitching	-	15,000	TBC	500	-	5,000,000
		4b. WDT Event Sellers Pitching	-	6,000	TBC	200	-	**2,000,000**
		WDT Subtotal	**0**	**21,000**	**0**	**700**	**0**	**7,000,000**
	Total		**3,062**	**89,869**	**274**	**4,467**	**583,052**	**28,115,289**
Original vs New Delta	Total		**-7,109**	**-904**	**-7,489**	**-25,420**	**-7,423,506**	**-22,244,780**

1 1a

Key Highlights:

1. Mass pitching will not proceed due to JST (聚水潭) internal business concerns, despite that, we will **maintain Dec'25 target ambition at 90K ADO** by focusing on 1:1 Pitching.
   a. With the switch to 1:1 Pitching, seller# will reduce by 25K to 4.5K, and SKU# will reduce similarly by 22M to 28M SKUs
   b. However, this drop will be mitigated by **ramping up SKU efficiency** 1) through engaging with higher quality leads from WDT and 2) upsized investment through standalone re-investment & marketing packages from local team.

Counter TB Incentive Plan - All country aside from PH is able to offer resources to support new and existing seller growth and to incentivise SKU sourcing from wishlist

Table: Counter TB Incentive Plan Review

Sufficient Resources | Can Be Improved

Lever	Commitment	Component	Reg Proposed	SG	MY	TH	TW	VN	PH
Lever 1 - New Seller Acquisition	Shopee Provides	Commission Waiver	*Y (3 months CMS waiver)*	Y	Y	Y	Y	Y	Y
		PRM	*Free ads credit (1st month), 25-50% off subsequent month Item Rebate (2% -5%)*	Y	Y	Y	*Y (No item rebate due to CB restriction)*	Y	Y (Only for Brands/Tmall Sellers)
		Exposure	*CFS*	Y	Y	Y	*Y (CB Circle, No CFS due to CB restriction)*	Y	Y (Only for Brands/Tmall Sellers)
		Content (Optional)	/	*AMS cms discount, KOL Stream etc.*	*AMS cms discount, KOL Stream etc.*	/	*Livestream Ads Credits ($50/Shop)*	*AMS credit, KOL livestream sessions etc.*	Y (Only for Brands/Tmall Sellers)
	Seller Provides	# of New SKU	*10 New SKU Upload per month*	Y	Y	Y	*N (50% of SKU on TBG to be on SHP)*	Y	/
		Price	5-12 % off CFS/DD price according to platform policy	Y	Y	Y	Y	Y	/
		Investment	*50 - 200 USD per month*	Y	Y	/	Y	Y	Y (Only for Brand/Tmall Sellers)
		Others	/	*(AMS 15% cms, LiveStream)*	*(AMS 9~10% cms, Livestream.)*	/	/	*(AMS 6~8% cms, video etc.)*	/
Lever 2 - Existing Seller Migration	Seller & Shopee Provides	Similar Component to Lever 1	*Same as Lever 1 Without Comms Waiver*	*Same as Lever 1 With Comms Waiver (Furniture)*	*Same as Lever 1 WIthout Comms Waiver*	*Same as Lever 1 WIthout Comms Waiver*	*Same as Lever With Comms Waiver*	*Same as Lever 1 WIthout Comms Waiver*	Y (Only for Brands/Tmall Sellers)
Lever 2 - SKU Sourcing	Shopee Provides	Commission Waiver	*N*	*Y for Furniture only*	*N*	*N*	*N (Not participating in sourcing, resource distributed to existing seller mgiration)*	*N*	N
		PRM	*Item Rebate 2-5%*	*2%-6% Item Rebate*	*2%-8% Item Rebate*	*Up to 8% Item Rebate*		*Up to 8% Item Rebate*	Y (Only if item matches local fashion wishlist)
		Exposure	*CFS*	*CFS*	*CFS*	*Campaign Feature*		*CFS*	
	Seller Provides	# of New SKU	*Wishlist SKU*	Y	Y	Y		Y	Y
		Price	*Y (Not more than 1.2x of TB)*	Y	Y	Y		Y	/

Key Highlights

New Seller Incentives - Aligned across all sites except for PH.

- PH focus is on growing and onboarding brand and mall sellers. No incentives is currently provided to new Non-Mall/Brand sellers

Existing Seller Incentives - Aligned with new seller incentives just without commission waiver across all markets.

SKU Sourcing Incentives - All sites other than PH provide SKU sourcing incentives when seller source for TB SKU that is proposed from Regional SKU wishlist. PH only offer SKU incentives based on Local Fashion wishlist.

Call Out: Without the requested incentives, PH overall Dec target is expected to decline from 56K to 26K. (-30K mainly from Lever 1 and Lever 2 due to weaker seller performance)

- Next Step: To push seller to join PH new whole seller program (Microsite exposure, 6% comms waiver) - ADO impact to program to be assessed ETA: 22nd Aug

Upsizing Counter TB Incentive Plan - MY, SG, TH, and VN will further increase their new and existing seller incentive packages starting from Sep'15 to accelerate the growth of focus sellers.

Table: Counter TB Focus Seller Incentive Plan

Program	Commitment	Component	SG	MY	TH	VN	TW
Focus Seller Program	Shopee Provides	Commission Waiver	Similar to Lever 1 & 2 Incentive Program Requirement	Similar to Lever 1 & 2 Incentive Program Requirement	Similar to Lever 1 & 2 Incentive Program Requirement	Similar to Lever 1 & 2 Incentive Program Requirement	WIP - ETA: 20th Aug
		PRM	Monthly $800 paid ads credits Upsize item rebate Sponsored Shop Vouchers (Weekly Top Up) AMS Commission Rebate	Monthly $800 paid ads credits Upsize item rebate Sponsored Shop Vouchers (Weekly Top Up) AMS Commission Rebate	Monthly $200 paid ads credits	Monthly 5% Ads Credit Rebate Cap $200 Sponsored Shop Vouchers (Weekly Top Up)	
		Exposure	10 FD Slots Per Day Per Shop Microsite Exposure	10 FD Slots Per Day Per Shop Microsite Exposure	FD Slots on Spikes/Mini Spikes CB Campaign Collection Inclusion	10 FD Slots Per Month Per Shop CB Campaign Collection Inclusion	
		Content (Optional)	Platform Video Voucher Feature 1 OA livestream session/month	Platform Video Voucher	Platform Livestream Voucher Creator Vouchers	Feature OA livestream session KOL Livestream for Beauty	
	Seller Provides	# of New SKU	100% TB SKU On SHP	100% TB SKU On SHP	/	Nominate CFS Deals with >15%-20% BAU Price Discount	
		Price	Monthly Improvement of Shop NPC to 40%	Monthly Improvement of Shop NPC to 40%	Monthly Improvement of Shop NPC to 40%	Monthly Improvement of Shop NPC to 40%	
		Investment	Set Up GMV Max Shop Wide	Set Up GMV Max Shop Wide	Min. incremental 100 paid-dds spend per month Min. incremental 100 AMS Comms per month	Min 200 paid ads spend AMS Commission greater than 8%	
		Others	Participate in all Campaigns Sponsor Min 5 Deals For OA Live	Participate in all Campaigns 10 FD Deal to Have Video	Shop ADO > 100	Provide 5-10% lower than BAU Price for Live Stream Item	

Key Highlights

Focus Seller Program:

1. **SG/MY/TH/VN:** Incentives were aggressively upsized to accelerate the growth of focus sellers in the Counter TB program. The incentive is available to both new and existing sellers. In return, the program requires a deeper commitment from sellers, including SKU-level commitments and a willingness to work with the platform to improve NPC month-over-month.
2. **TW:** To confirmed by 20th Aug

Grow SKU Assortment Completeness vs TBG - From Apr to Jul'25, assortment gap has reduced with match rate against top TBG SKUs improving by 17pp to 55%, driven mostly by CB assortment

Table: Match Rate% between SHP vs TBG Top SKU between Apr'25 - Jul'25

		Total			SG			MY			TH			TW			VN			PH		
Metric	Category	Apr'25	Jul'25	Delta	Apr'25	Jul'25	Delta	Apr'25	Jul'25	Delta	Apr'25	Jul'25	Delta	Apr'25	Jul'25	Delta	Apr'25	Jul'25	Delta	Apr'25	Jul'25	Delta
SHP Platform Match Rate to TB Top SKUs (%)	Fashion	43%	46%	3 pp	36%	40%	1 pp	44%	47%	1 pp	39%	44%	2 pp	52%	53%	1 pp	40%	42%	1 pp	45%	49%	-1 pp
	Home & Living + Furniture	-	-	-	-	68%	-	-	69%	-	-	66%	-	-	72%	-	-	39%	-	-	71%	-
	Food & Beverage	29%	41%	12 pp	27%	49%	13 pp	36%	55%	11 pp	32%	43%	6 pp	26%	35%	6 pp	28%	22%	-2 pp	24%	45%	13 pp
	Beauty	45%	67%	22 pp	46%	65%	12 pp	51%	71%	12 pp	45%	69%	14 pp	49%	68%	14 pp	39%	61%	19 pp	41%	71%	15 pp
	Total	**38%**	**55%**	**17 pp**	**35%**	**55%**	**7 pp**	**43%**	**60%**	**6 pp**	**38%**	**55%**	**7 pp**	**41%**	**57%**	**6 pp**	**35%**	**43%**	**7 pp**	**37%**	**59%**	**8 pp**
TB Top SKUs (#)	Fashion	62,718	84,263	34%	62,718	84,263	34%	62,718	84,263	34%	62,718	84,263	34%	62,718	84,263	34%	62,718	84,263	34%	62,718	84,263	34%
	Home & Living + Furniture	-	50,185	-	-	50,185	-	-	50,185	-	-	50,185	-	-	50,185	-	-	50,185	-	-	50,185	-
	Food & Beverage	60,683	63,771	5%	60,683	63,771	5%	60,683	63,771	5%	60,683	63,771	5%	60,683	63,771	5%	60,683	63,771	5%	60,683	63,771	5%
	Beauty	40,384	92,325	129%	40,384	92,325	129%	40,384	92,325	129%	40,384	92,325	129%	40,384	92,325	129%	40,384	92,325	129%	40,384	92,325	129%
	Total	**163,785**	**290,544**	**77%**	**163,785**	**290,544**	**77%**	**163,785**	**290,544**	**77%**	**163,785**	**290,544**	**77%**	**163,785**	**290,544**	**77%**	**163,785**	**290,544**	**77%**	**163,785**	**290,544**	**77%**
SHP CB Match SKUs(#)	Fashion	24,400	35,334	45%	22,690	33,737	49%	27,102	38,855	43%	23,783	36,039	52%	25,220	35,825	42%	22,980	32,895	43%	24,627	34,650	41%
	Home & Living + Furniture	-	26,077	-	-	33,968	-	-	34,554	-	-	32,810	-	-	9,750	-	-	10,977	-	-	34,400	-
	Food & Beverage	12,427	19,656	58%	14,927	30,715	106%	19,274	34,098	77%	17,612	25,774	46%	316	366	16%	11,843	5,968	-50%	10,588	21,014	98%
	Beauty	16,408	57,508	250%	18,123	59,941	231%	19,502	63,884	228%	17,474	61,065	249%	14,738	52,697	258%	13,979	49,390	253%	14,630	58,073	297%
	Total	**53,235**	**138,574**	**160%**	**55,740**	**158,361**	**184%**	**65,878**	**171,391**	**160%**	**58,869**	**155,688**	**164%**	**40,274**	**98,638**	**145%**	**48,802**	**99,230**	**103%**	**49,845**	**148,137**	**197%**
SHP Local Match SKUs(#)	Fashion	10,274	15,229	48%	432	718	66%	2402	3,451	44%	6386	8,285	30%	27763	37,707	36%	9680	13,614	41%	14981	27,601	84%
	Home & Living + Furniture	-	12,321	-	-	1,910	-	-	3,758	-	-	6,338	-	-	35,346	-	-	15,564	-	-	11,007	-
	Food & Beverage	8,664	11,422	32%	5,369	2,900	-46%	8,085	8,401	4%	5,860	8,031	37%	15,845	22,140	40%	8,622	10,033	16%	8,202	17,027	108%
	Beauty	6,673	25,588	283%	2,284	6,103	167%	5,380	17,398	223%	3,873	16,541	327%	14,794	46,879	217%	6,211	26,247	323%	7,494	40,359	439%
	Total	**25,611**	**64,560**	**152%**	**8,085**	**11,631**	**44%**	**15,867**	**33,008**	**108%**	**16,119**	**39,195**	**143%**	**58,402**	**142,072**	**143%**	**24,513**	**65,458**	**167%**	**30,677**	**95,994**	**213%**

*Matching is conducted via pricing tool to determine similar SKUs on Shopee via image search and product description

Key Highlights

1. Overall SEA + TW SHP match rate against TBG top selling SKUs improved **by 17pp to 55%**, narrowing the assortment gap.
   a. This improvement is despite an expansion in mapping scope; mapping against more TBG top selling SKUs (291k in Jul'25 vs 163k in Apr'25)
   b. In most markets, CB assortment drives the majority of matches; TW is the exception, where Local accounts for most of the matched assortment due to CB restrictions

[TB Price Comp Methodology 1/3] Counter TB will adopt price comp methodology aligned with Reg BD, limited to four focus categories with a target of achieving 40% NPC against 400K top selling TB SKUs

Price Comparison Scope

TB SKU Pool

- **Identified ~400K TB SKUs**
- Top 2K best-selling TB SKUs across subcategories from 4 Focus Cats

SHP SKU Pool

- **Matched to ~2.2M SHP SKUs**
- Weekly Matching against Shopee Platform to identify similar SKUs based on item image and item description
- Multiple match pairs may be returned for the same TB SKU

Net Price Comp Methodology

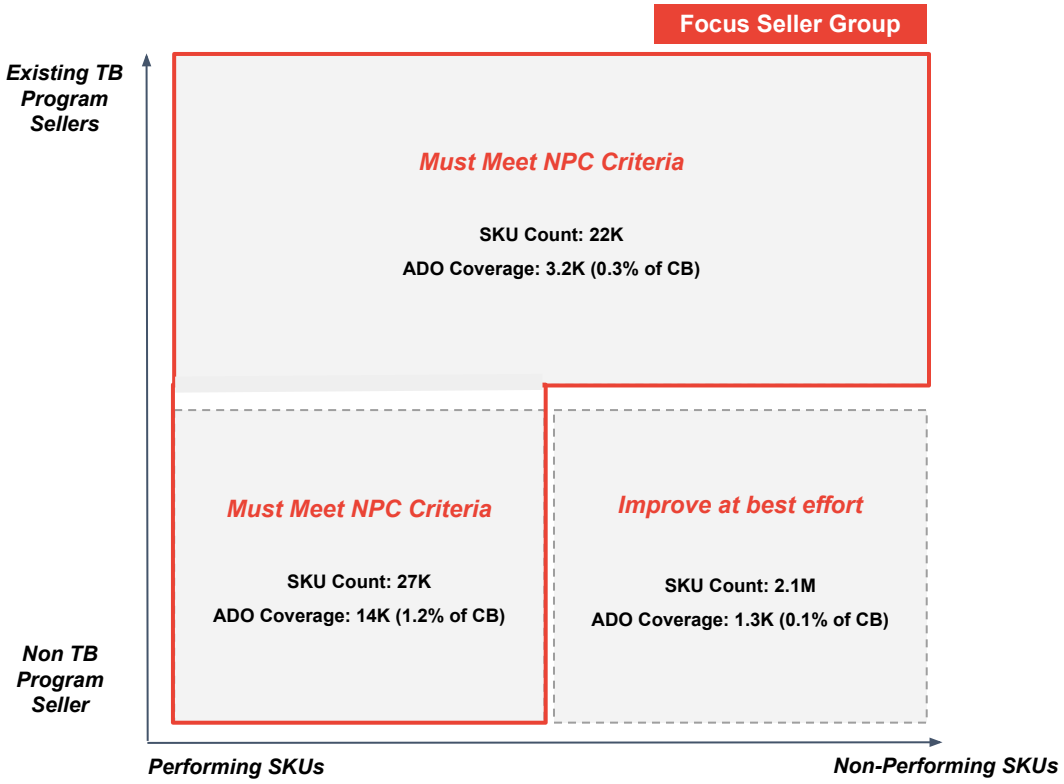
TB vs SHP

- **Net Price Comp definition aligned with Reg BD** defined as % cheaper SKUs minus % expensive SKUs, excluding equal pairs
  - Equal pairs: 0% deviation for SKUs priced $0–$2, ±3% for $2–$15, and ±2% for prices above $15
- Target Setting aligned with Reg BD
- Comparison is at item level using the lowest model price

Key Highlights

- Price Comp Methodology is generally aligned with Reg BD's standard approach for comparing price comp against TTS.
- However, in terms of frequency of comparison, Counter TB performs weekly matching instead of daily due to limitations with CBBI data tools resulting from TBG strong anti-crawling measures

[TB Price Comp Methodology 2/3] From the 2.2M SHP SKUs matched to 400K top TB SKUs, we prioritise TB program sellers & performing SKUs for price comp, covering 49K SHP SKUs, 1.5% of CB ADO for Aug



*Performing SKUs defined as SKUs with Stock > 0, rating > 4, sold count >10, as aligned with Reg BD

Key Highlights

1. **Price Comp Prioritization -** All counter TB program seller & performing SKUs will be automatically included into Net Price Comp improvement plan with higher priority
2. **Deprioritise Seller Group** - These group will be depriotiised and not included as part of NPC tracking. If seller manage to reduce price they will still be eligible for CFS/Item rebate
3. **With this prioritisation methodology** , August SKU Pool has been reduced from 2.2m SKUs to 49K SKUs to be tracked for NPC.

[TB Price Comp Methodology 3/3] Instead of engaging in price comp at listing Price, we will conduct price comp at total buyer paid price, to ensure an apple-to-apple comparison from buyer's POV

SG Fashion Sample SKU SHP VS TBG Illustration:

Sample Item	Listing Price Breakdown		SHP		TB Sellers		SHP VS TBG
			Value (SGD)	% of Listing	Value (SGD)	% of Listing	
T-Shirt (160g)	Listing Price [C] After Rebate	**1.COGS + Seller Margin**	**$5.29**	44%	**$6.26**	86%	**-$0.98**
		2.Total Platform Fee	$1.95	15%	$0.36	5%	$1.59
		…2A:Commission Fee (CB)	$1.59	13%	/	/	/
		…2B:TB Program Fee (Domestic)	/	/	$0.36	5%	
		…2C:Transaction Fee	$0.36	3%	/	/	
		3.Marketing Markup (Ads Expenses)	$0.87	7%	$0.36	5%	$0.51
		4.Hidden Fee (Shipping)	$2.78	23%	$0.27	4%	$2.51
		5.Seller paid GST	$1.08	9%	/	/	/ (Buyer Pay During Check Out For TBG)
		1 **6. Total Listing Price (1 to 5)**	$11.97	100%	$7.26	**100%**	$4.71 +65% more expensive
	Price [D] After Rebate & Voucher		$11.97	/	$7.26	/	$4.71 +65% more expensive
	Price [E] After Rebate, Voucher and BPSF		$13.46	/	$10.53	/	$2.93 +28% more expensive
	2 **Total Buyer Paid Price [F]** (After Tax 9%+ Shipping + Handling Fees)		$13.46	/	$11.82	/	$1.64 +14% more expensive
	Other Seller Fees (If Seller Join Free Shipping)						
	TBG Fees (15% of Domestic Listing Price)		/	/	$1.09	**15%**	
	Actual COGS + Seller Margin [C1-TBG Fees]		**$5.29**	44%	**$5.18**	**71%**	**$0.11**

Key Highlights

1. Big Listing Price Gap - SHP vs TBG Listing Price have 65% gap (Based on example)

- Contributed by seller including hidden fees, platform fees, GST and transaction fee into SHP listing price

2. Total Buyer Paid Price - A more apple to apple price comparison from buyer's point of view

- Will do price comp at Total Buyer Price instead of Listing Price

3. Actual COGS + Seller Margin is higher on SHP vs TB after taking into account the additional Seller Fee which TBG seller have to pay (15%).

- Room to squeeze SHP CB Seller to lower margin to make listing price more attractive

[Counter TB Price Comp Update] As of 2 Aug, for the 49K SHP SKUs matched to TB, net price comp is at -6% at total buyer paid price. We will start price negotiation for uncompetitive SKUs from 18 Aug

Aug'25 Net Price Comp for 49K SHP SKUs matched to TB

Platform level	Regions	Scope	2 August 2025							WoW						% to Target
			#SKU	% ADO Coverage		% Net Competitiveness				% ADO Coverage		% Net Competitiveness				% Net Competitiveness
			On Shopee	On TB	On Shopee (% to CB L1)	After Shopee and TB rebate [C]	After rebate and Voucher [D]	After rebate, voucher and BPSF [E]	Total Buyer Price [E + Tax]	On TB	On Shopee (% to CB L1)	After Shopee and TB rebate [C]	After rebate and Voucher [D]	After rebate, voucher and BPSF [E]	Total Buyer Price [E + Tax]	Total Buyer Price [E + Tax]
Taobao	SEA	**Total**	**48,812**	WIP	**1.5%**	**-47%**	**-42%**	**-12%**	**-6%**	WIP	▲0.0pp	▲2.0pp	▲2.2pp	▲2.0pp	▲1.0pp	**67%**
		...Fashion	6,864		0.3%	-35%	-30%	5%	12%		▲0.0pp	▲1.1pp	▲1.3pp	▲1.9pp	▲0.0pp	80%
		...Furrniture	11,501		3.3%	-84%	-82%	-73%	-70%		▼0.3pp	▲0.6pp	▲0.6pp	▲0.7pp	▲0.0pp	21%
		...F&B	7,538		5.5%	-76%	-74%	-45%	-41%		▲0.0pp	▼1.6pp	▼1.8pp	▼3.1pp	▼4.5pp	42%
		...Beauty	22,909		3.9%	-22%	-16%	25%	32%		▲0.0pp	▲2.5pp	▲2.7pp	▲1.6pp	▲0.5pp	94%
	SG	**Total**	**17,126**		**2.4%**	**-73%**	**-71%**	**-52%**	**-47%**		▼0.0pp	▲0.4pp	▲0.3pp	▲0.2pp	▼0.9pp	**38%**
		...Fashion	1,084		0.6%	-66%	-63%	-42%	-33%		▲0.0pp	▼0.5pp	▼0.2pp	▼0.4pp	▼1.1pp	48%
		...Furrniture	7,313		5.4%	-82%	-80%	-73%	-70%		▼0.4pp	▲0.3pp	▲0.4pp	▲0.2pp	▼0.5pp	22%
		...F&B	4,231		3.2%	-89%	-88%	-69%	-66%		▼0.1pp	▼1.3pp	▼1.5pp	▼2.7pp	▼4.1pp	24%
		...Beauty	4,498		4.8%	-47%	-43%	-4%	5%		▼0.0pp	▲1.7pp	▲1.3pp	▲0.9pp	▼0.9pp	75%
	MY	**Total**	**15,453**		**2.5%**	**-44%**	**-38%**	**-7%**	**-1%**		▲0.1pp	▲2.1pp	▲2.2pp	▲2.7pp	▲1.8pp	**71%**
		...Fashion	2,163		0.7%	-22%	-16%	19%	28%		▲0.0pp	▲1.3pp	▲0.4pp	▲1.3pp	▼0.4pp	92%
		...Furrniture	3,485		7.9%	-91%	-89%	-81%	-79%		▼0.7pp	▲0.8pp	▲0.7pp	▲0.6pp	▲0.2pp	15%
		...F&B	3,036		19.4%	-63%	-59%	-18%	-13%		▲0.3pp	▼1.1pp	▼1.3pp	▼2.1pp	▼3.6pp	62%
		...Beauty	6,769		7.0%	-19%	-9%	27%	36%		▲0.3pp	▲1.4pp	▲1.8pp	▲1.9pp	▲1.1pp	97%
	TH	**Total**	**WIP**		**0.0%**	WIP					-	-	-	-	-	**WIP**
	VN	**Total**	**7,665**		**1.9%**	**-9%**	**-2%**	**27%**	**38%**		▲0.0pp	▲3.6pp	▲4.1pp	▲3.4pp	▲3.1pp	**99%**
		...Fashion	1,393		0.3%	-26%	-18%	-1%	12%		▲0.0pp	▼0.9pp	▼0.2pp	▼0.4pp	▼0.9pp	80%
		...Furrniture	397		8.8%	-68%	-65%	-51%	-41%		▼1.1pp	▲2.9pp	▲1.9pp	▲1.2pp	▲3.1pp	42%
		...F&B	45		2.4%	18%	22%	42%	51%		▼0.7pp	▼15.6pp	▼15.6pp	▲4.4pp	▲4.4pp	108%
		...Beauty	5,830		5.0%	-1%	6%	38%	50%		▲0.0pp	▲3.5pp	▲3.9pp	▲2.1pp	▲1.8pp	107%
	PH	**Total**	**4,126**		**1.2%**	**-28%**	**-21%**	**39%**	**40%**		▲0.0pp	▲1.5pp	▲1.4pp	▲2.2pp	▼0.6pp	**100%**
		...Fashion	883		0.2%	-52%	-45%	9%	11%		▼0.0pp	▲3.6pp	▲5.7pp	▲8.2pp	▲3.1pp	79%
		...Furrniture	89		0.7%	-84%	-80%	6%	8%		▼0.0pp	▼5.0pp	▼2.8pp	▲10.2pp	▲6.8pp	77%
		...F&B	216		1.2%	-53%	-50%	32%	32%		▼0.0pp	▲1.2pp	▲2.6pp	▲1.9pp	▲1.0pp	95%
		...Beauty	2,938		3.0%	-17%	-10%	50%	50%		▲0.1pp	▲1.2pp	▲0.4pp	▲0.4pp	▼1.8pp	107%
	TW	**Total**	**4,322**		**3.7%**	**-38%**	**-37%**	**16%**	**16%**		▲0.0pp	▲0.8pp	▲1.1pp	▲0.9pp	▼1.6pp	**83%**
		...Fashion	1,330		0.7%	-27%	-27%	24%	24%		▲0.0pp	▲2.7pp	▲2.8pp	▲2.5pp	▲0.3pp	88%
		...Furrniture	109		6.3%	-59%	-59%	-18%	-18%		▼0.7pp	▲0.5pp	▼0.4pp	▲2.0pp	▲1.1pp	58%
		...F&B	10		0.2%	-20%	-20%	40%	50%		▼0.0pp	-	-	-	▲10.0pp	107%
		...Beauty	2,873		13.0%	-42%	-41%	13%	13%		▲0.0pp	▼0.2pp	▲0.3pp	▲0.1pp	▼2.6pp	81%

*Note: TH data WIP ETA: 20 Aug

Key Highlights

- We have expanded NPC SKU pool from 1.8K trial SKUs to **49K SKUs**. However, based on total buyer-paid price, Shopee NPC is currently **underperforming at -6%** vs. target of 40% mainly due to SG's performance at **-47% due to higher logistics hidden fees charged to sellers**
- By category, **Furniture have the lowest NPC at -70%**, while Beauty is performing much better at 32%.
- **Next Step:** We have started to engage sellers to negotiate price adjustments for 25K uncompetitive SKUs down to target price. P1 to focus negotiation on our program sellers estimated at 3.6K SKU; results will be concluded by 25 Aug. (Details on next slide)

[Counter TB Price Comp Treatment] Priority to ensure all program shops offer competitive assortment with program benefits. Non-program sellers can benefit from ad-hoc rebates if they are willing to meet the target price

				Propose Treatment			
Priority	**Seller Type***		**Target SKU#**	**Target NPC**	**Total Buyer Paid Price**	**Sellers Action**	**Shopee' Actions**
P1	**Program Sellers** *(Across Lever 1, 2, 3)*	**Focus Shops** (Success Case)	517	40% (Shop Level)	To be equal or lower than TBG	**Lower listing price** so that total buyer price matches TBG **(For Full Month)**	CFS (2 Slots Per Month) + Seller Program Incentive (Upsize item rebate)
		All Other Shops	3,121	40% (Program Level)			
P2	**Non-Program Sellers** *(Across Lever 1, 2, 3)*	**All Other Shops**	9,470	40% (Program Level)			CFS (2 Slots Per Month) + SHP Item Rebate to match price on TBG (Up to 8 Days D+1 to D+8)

*Note:Total Target SKU# for Aug price negotiation is at 13K out of 25K expensive item. These are the item we are working with RM to negotiate for listing price to be reduced by less than 50%.

Key Highlights

1. **Program Sellers**
   a. **P1 (3,638 SKU):** To ensure all program sellers, especially focus sellers, are able to maintain NPC of 40%, supported by upsize item rebates through counter TB program incentives. New sellers will additionally be supported with commission waiver for up to 3 months.
2. **Non-Program Sellers**
   a. **P2 (9,470 SKU):** All other shops are encouraged to reduce their listing prices as recommended. SHP can provide additional item rebates to help sellers overcome structural pricing differences (e.g., hidden fees)